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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ICELAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JANUARY 1971

BASIC STATISTICS OF ICELAND

THE LAND

Area (1 000 sq.km)	103
Productive area (1 000 sq.km)	25
of which :	
Cultivated area	1
Rough grazings	24
Unproductive area (1 000 sq.km)	78
of which :	
Glaciers	12
Other area devoid of vegetation	66

THE PEOPLE

Population, December 1969	203 442
Net increase 1965-1969, annual average (per cent)	1.4

Occupational distribution 1968 (per cent) :	
Farming	13.0
Fisheries	5.8
Fish processing	7.2
Other manufacturing	15.8
Construction	13.3
Electricity, water supply, etc.	0.9
Commerce	15.0
Transport and communication	9.1
Other services	19.9
	100.0

GOVERNMENT AND PARLIAMENT

Government, from 1960, number of Ministers :	
Independence Party	4
Social Democrats	3

Last general election : 1967

Parliament, from 1967, number of seats :	
Independence Party (Lib. Cons.)	23
Progressive Party (Agrarians)	18
Labour Alliance (Socialists, Communists)	10
Social Democrats	9
	60

Next general election : 1971

PRODUCTION AND CAPITAL FORMATION

Gross National Product in 1969 :	
Millions of I.Kr.	33 700
Per head, U.S. $	1 887

Gross Fixed Capital Formation in 1969 :	
Millions of I.Kr.	8 568
Per cent of GNP	25

FOREIGN TRADE

Exports of goods and services in 1969, per cent of GNP	47
Main exports 1969, per cent of exports of goods :	
Fish and fish products	82
Agricultural products	8

Imports of goods and services in 1969, per cent of GNP	46
Imports 1969 by use (per cent) :	
Consumption goods	38
Production goods for fishing industry and agriculture	30
Other goods	32
	100
of which :	
Ships and aircraft	1
Fuels	11

THE CURRENCY

Monetary unit : Krona

Currency unit per US $ 88.00

NOTE An international comparison of some basic economic and demographic statistics is given in Annex Table K.

OECD ECONOMIC SURVEYS

ICELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development (OECD), was set up under a Convention signed in Paris on 14th December, 1960, which provides that the OECD shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The Members of OECD are Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The annunal review of Iceland by the OECD
Economic and Development Review Committee took place
on 26th November 1970.
The present Survey has been updated subsequently.

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INTRODUCTION

In 1970 the Icelandic economy has experienced a rapid expansion of production and demand, with GNP growing by some 7 per cent and real national income by more than 11 per cent. This development was strongly influenced by the devaluation of the Krona in November 1968 which restored profitability in export and import-competing industries, as well as by higher export prices for fish products. Thus, domestic expansion has gone hand in hand with a strengthening of the current external account. Several programmes for the diversification of the economy and the strengthening of the industrial sector have materialised in 1969 and 1970. The aluminium plant was operating at the present full capacity level in the second half of 1970. Apart from aluminium, some other exports of manufactured products have risen fast in 1970. Membership of EFTA from 1st March should provide new opportunities for the diversification of exports and production. But a steep rise in costs and prices in recent months represents a major threat to continued economic growth and external stability and will clearly render more difficult the further diversification of the economy. Determined efforts are needed to arrest the price-wage spiral. The price-freeze law of 18th November 1970 represents an important step in that direction.

I MAIN FEATURES

After a fall of some 40 per cent from 1966 to 1968 Icelandic merchandise exports rose strongly in 1969 and may, according to preliminary estimates, have reached a level in 1970 somewhat above the 1966 peak. Good white fish catches, rising demand and prices for fish products, and a broader industrial base in the economy (reflected in the new aluminium exports) combined with the effects of the parity changes to switch the current external deficit of 9.8 per cent of GNP in 1968 to a surplus of 3 per cent in 1970. A distinction between the effects of temporary and more permanent factors contributing to this result is difficult since output in the fisheries, Iceland's main industry, is so heavily dependent on biological and meteorological factors. For the same reasons it is difficult to form a very precise view of the nature, strength and timing of policy measures needed to adjust the domestic economy to changing external conditions.

The need for fundamental adjustments seemed particularly strong in 1968 when the Icelandic foreign exchange reserves were exhausted and when hopes for an early improvement in the depressed export markets seemed dim. The devaluation effected in November 1967 had not been sufficient to re-

establish a better external balance. Towards the end of 1968 the Icelandic authorities therefore based their policy decisions on the assumption that export conditions would remain difficult for some years to come and that exports, consequently, would remain depressed if decisive measures to restore incentives were not taken. A complete adjustment of domestic demand and costs to the lower level of export earnings was considered indispensable, and a second devaluation was effected in November 1968 with the new parity fixed at Kr. 88 to the dollar as against Kr. 43 up to November 1967 and Kr. 57 in the intervening period.

In the event, Icelandic export market—notably the US market for fish fillets—improved more strongly than expected. The rise in export prices (measured in foreign currency) together with the favourable impact of the 1968 devaluation, pulled the economy out of the depressed state of 1967/1968. White fish catches improved in 1969, and the more favourable trend has continued in 1970. The rise in export prices accelerated in the first months of 1970, and by mid-year fisheries and fish-processing were again experiencing price conditions at least as favourable as before the 1967/1968 setback. The present expansion may be more solidly based than earlier upturns. The increase in production concerns mainly white fish catches which tend to fluctuate less than herring catches ; white fish also yields a higher production value per ton. Moreover, the new export products, such as aluminium and diatomite, have gained importance ; and other manufactured products, although still small in the overall picture, have performed well.

The pattern of development of major demand and supply components over the cycle is illustrated in Table 1, expressing the change in volume of each component as per cent of previous year's GNP (and not as percentage rates of change). Three main features appear from the table :

(*i*) The main deterioration of the external account took place in 1967 when the fall in the export volume (mainly because of smaller herring catches) was accompanied by a deterioration in the terms of trade equivalent to 5.5 per cent of GNP. After a further fall in 1968, the export volume rose through 1969 and 1970 and the terms of trade improved markedly.

Table 1 **Shifts in Demand**
Change in volume (1960 prices) as per cent of previous year's GNP

	1967	1968	1969	1970[1]
DOMESTIC DEMAND	5.1	–8.5	–11.6	8.7
Exports of goods and services	–3.0	–3.0	5.5	8.2
TOTAL DEMAND	2.1	–11.5	–6.1	16.9
Imports of goods and services[2]	–4.2	5.5	8.1	10.3
GROSS NATIONAL PRODUCT	–2.1	–6.0	2.0	6.6
Effect of change in terms of trade	–5.5	–1.4	1.1	4.9

1 Forecast, 1969 prices.
2 The positive figures in 1968 and 1969 indicate falling imports.
Source : The Economic Institute.
NOTE The figures for GNP components do not represent their own rates of change but indicate their contribution in terms of percentage points to the total GNP change ; the percentage points thus add up to the GNP change.

(*ii*) Domestic demand continued to rise in 1967 but fell in 1968 and reached the bottom in 1969, approximately one year later than exports. In 1970, domestic demand has recovered sharply, led by private consumption.

(*iii*) Imports of goods and services in volume terms fell in 1968 and 1969, in line with domestic demand, whereas the gross national product started to rise already in 1969, influenced by the rise in exports and some shift of demand from imports to domestic production brought about by the devaluations.

The recent favourable export performance, and the accompanying prosperity in most domestic industries, may temporarily mask the need for structural changes in the economy. Thus, even though real domestic demand is likely to have risen sharply in 1970 (8.8 per cent) and much faster than real GNP (6.6 per cent) the current external balance have probably improved to show a large surplus ($ 14 million) (Table 2). However, it is important, to realize that

(*a*) these favourable developments owe much to an improvement of the terms of trade representing some 5 per cent of GNP and that in constant prices the foreign balance deteriorated ;

(*b*) the terms of trade are liable to quick change, given notably the onesidedness of exports.

Table 2 **Supply and Use of Resources**

	1962-66 average	1967	1968	1969	1970[1]
	Percentage change over previous year, 1960 prices				
Private consumption	10.7	1.0	–5.4	–6.3	13.0
Public consumption	7.3	6.7	2.7	2.2	4.5
Gross fixed asset formation	15.5	12.7	–8.7	–24.1	3.3
Change in stocks[2]	0.0	0.2	–1.4	0.2	–0.4
NATIONAL EXPENDITURE	11.2	4.6	–7.1	–9.8	8.8
Exports of goods and services	10.8	–6.0	–6.3	11.5	17.5
Imports of goods and services	15.1	6.9	–8.2	–12.3	22.4
GROSS NATIONAL PRODUCT	8.9	–2.1	–6.0	2.0	6.6
Effect of change in terms of trade[2]	1.8	–5.5	–1.4	1.1	4.9
GROSS NATIONAL INCOME	10.2	–7.0	–7.1	3.0	11.5
Gross national income per capita	8.3	–8.5	8.3	2.2	..
	$ million, during period				
Balance on current external account	–0.8	–53.8	–46.9	3.5	14.4
Overall balance of payments[3]	6.4	–24.9	–14.8	19.1	18.2[4]

1 Forecast (1969 prices).
2 As per cent of previous year's GNP.
3 Balance on non-monetary transactions, including errors and omissions.
4 Including IMF Special Drawing Rights of $ 2.5 million.

Source : The Economic Institute.

NOTE Gross national income in fixed prices is defined in the Icelandic statistics as national expenditure in fixed prices plus external balance of goods and services deflated with the import price index.

The scope for an expansion of domestic demand without endangering the balance of payments is obviously quite considerable in the short run, given the rapid rise in export earnings of fish products and the improved profitability of the fish processing industries. However, the profitability of other sectors of the economy has not improved to the same extent, and wage increases which could be absorbed by the fish processing industries might be excessive for other industries. In branches protected from foreign competition the likely response would be higher prices. But an excessive rise in wages could threaten the profitability of industries competing with imports and export industries other than fish processing, and thus hamper the further diversification of the economy. The authorities therefore initiated negotiations on incomes policy measures aimed at a rise in the standard of living without sparking off a cost/price spiral. A revaluation of the Krona could have facilitated the stabilization of prices and nominal incomes through the fall in import prices (in Icelandic Kronur) as well as moderated the sharp rise in export earnings. Combinations of moderate parity changes and nominal income increases were suggested by the authorities for consideration in negotiations with the socio-economic organizations. No general consensus on measures along these lines could be achieved and a final wage settlement was only concluded in June after extensive strikes affecting large parts of the economy.

II REVIEW OF RECENT TRENDS

Merchandise Exports

The rise in prices for frozen white fish—a major export product—started in 1969 and accelerated strongly in the first half of 1970 (Table 3). For other fish products the upturn has also been strong and, on average, export prices for fish products is estimated to be up by some 16 per cent between 1969 and 1970. The price increase has been particularly sharp for herring and capelin oil, but with the small quantity now exported of this product, its impact on total exports has been small.

Between the first halves of 1969 and 1970 exports of fish products rose by 40 per cent in value and about 16 per cent in volume. In the second half of 1970 exports continued to increase at a rate in value terms not much below this, although export production of fish products was then growing only slowly. For the year as a whole the increase of exports of fish products is estimated at about 37 per cent (see Table 4).

The share of fish products in total merchandise export has fallen gradually from 95 per cent in 1966 to 78 per cent in the first half of 1970. Exports of aluminium started in 1969 at higher prices than originally expected and in the first half of 1970 totalled $ 8.8 million of 13 per cent of exports. Other exports, including such manufactured goods as diatomite and wool products as well as products from sheep farming, have risen sharply but their absolute

Table 3 **Export Prices**[1]
Index, 1st quarter 1967 = 100, calculated in US dollars
at current exchange rates, half years

	1967		1968		1969		1970
	I	II	I	II	I	II	I
Herring meal	98	94	77	88	78	120	127
Capelin meal	98	94	76	76	96	94	126
White fish meal	100	90	79	87	92	112	129
Herring oil	95	73	57	53	58	67	104
Frozen white fish fillets:							
US market	94	86	88	80	87	89	101
Other markets	99	95	78	80	72	81	84
Salted white fish	100	100	99	81	79	77	100
Stock fish:							
African market	101	100	92	79	65	62	67
Italian market	98	95	81	78	73	79	78

1 Average unit prices calculated on the basis of foreign trade statistics, adjusted for changes in the exchange rate against the US dollar.

Source : Hagtidindi, The Central Statistical Bureau.

Table 4 **Trends in Merchandise Exports**
Half years

	1968		1969		1970	
	I	II	I	II	I	II[1]
			$ million			
Herring and capelin products	9.7	8.2	7.7	6.7	9.4	..
Other marine products	23.7	30.7	29.8	43.8	43.3	..
of which: white fish fillets	10.0	12.9	12.9	20.3	21.7	..
Marine products, total	33.4	38.9	37.6	50.4	52.8	67.7
Mutton, wool and sheepskin	1.8	4.0	1.5	4.2	2.0	..
Aluminium ingots	—	—	—	5.9	8.8	8.2
Diatomite	—	0.2	0.3	0.4	0.5	0.7
Other products	1.7	2.2	2.6	4.7	2.8	..
TOTAL	36.9	45.3	42.0	55.6	66.9	83.1
			Percentage change over same period of previous year			
Marine products	–25.6	–8.7	12.6	29.6	40.4	34.3
Total exports	–23.3	–7.4	13.8	44.8	59.3	26.7

1 Forecast.

Source : The Economic Institute.

value remains small. Dairy exports, which from time to time have gained importance due to surplus production at home, have been insignificant in 1969 and in 1970.

Domestic Demand

Estimates made by the Economic Institute and the Central Bank on the basis of unpublished statistical indicators and other data suggest that total gross fixed asset formation may have increased by 3.3 per cent in real terms between 1969 and 1970. However, the overall trend has been heavily influenced by the termination of three large projects : an aluminium plant (built by a private company), a harbour and a power plant (built by the Icelandic Government). Excluding these projects, gross fixed asset formation in volume (1969 prices) may have risen by some 30 per cent between 1969 and 1970 (Table 5). On the other hand, the steep rise expected in industrial asset formation is influenced by the purchase of a fish research boat ; excluding this, investment in fisheries and fish processing remains substantially below the levels of previous peak years. Investment in manufacturing (other than fish processing), agriculture and commerce may have shown a rise of some 20 per cent, and investment in transport equipment may have expanded even faster, given the low level to which it had fallen in 1969.

Private consumption may have increased by as much as 13 per cent in real terms between 1969 and 1970, accounting for the major part of the expansion of domestic demand (Table 2). With the rise in white fish catches and prices, earnings in fisheries and fish processing have been growing fast, and

Table 5 **Gross Fixed Asset Formation**
Percentage change over previous year, 1969 prices

	1967	1968	1969	1970[1]
Sectoral classification:				
Industrial asset formation[2]	–1.9	–41.7	–35.0	67.5
Transport equipment	–22.5	–39.1	–74.3	266.7
Fisheries and fish processing	28.9	–69.6	–40.9	225.8
Other	–3.5	–28.5	–20.3	20.0
Public works and buildings[3]	7.0	–7.0	–12.3	17.2
Residential construction	9.6	–12.7	–22.0	10.9
Subtotal[2 3]	3.0	–25.5	–23.8	31.9
Total fixed asset formation	12.2	–8.7	–24.2	3.1
of which: Effect of changes in special projects (note 2 and 3)	9.3	14.2	–6.8	–20.4
Functional Classification:[4]				
Transport equipment	13.9	–57.7	–67.4	286.0
Other machinery and equipment	0.1	31.7	–25.4	–34.0
Building and construction	5.5	–4.7	–17.8	1.0

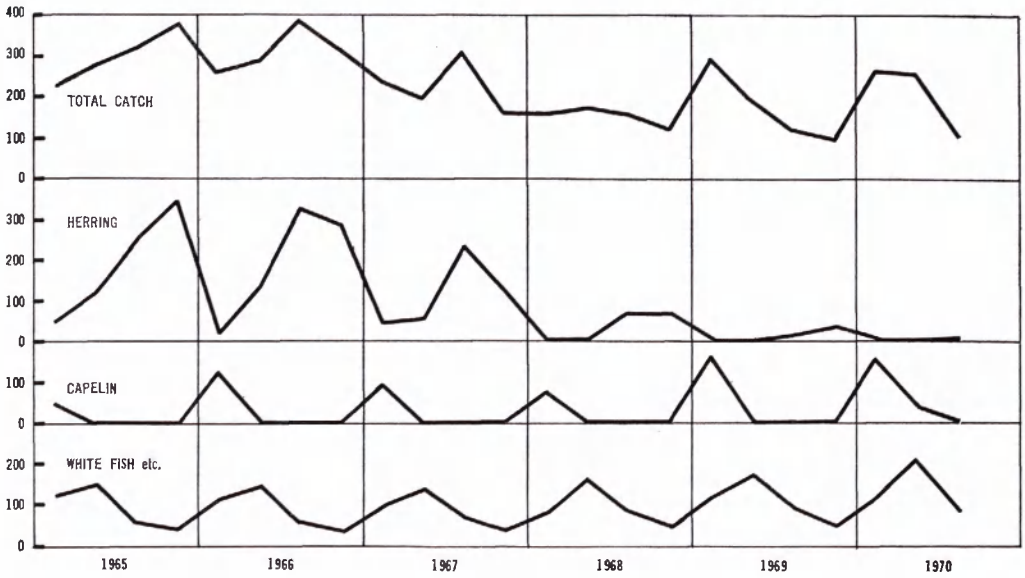
1 Forecast.
2 Excluding the Aluminium Plant.
3 Excluding the Burfell Power Plant and the Harbour.
4 1960 prices.
Source : The Economic Institute.

have generated an expansion of demand and incomes in other sectors also. Moreover, wages and salaries have increased rapidly due to quarterly automatic cost-of-living adjustments and large increases provided by the income settlements in June-July 1970. With only a moderate rise in direct taxes, private disposable income may have increased by some 30 per cent between 1969 and 1970. The rise in consumption has also been facilitated by easier credit conditions.

Production and Employment

Despite the strong recovery, the real gross national product in 1970 may have only slightly exceeded the 1966 level, but with a higher contribution from manufacturing and a smaller one from fisheries and fish processing (Table 6). The new activities—production of aluminium and diatomite—may have contributed about 1 percentage point of the total rise of 7 per cent in GDP from 1969 to 1970. Another aspect of some importance is the stagnation of agricultural production following declines in 1968 and 1969. Although perhaps marginally influenced by the weak trends in other sectors in recent years, agricultural production has predominantly been depressed by unfavourable weather conditions. Hay crops have fallen, due partly to heavy rains (in 1969), partly and perhaps more importantly due to frost damages. In 1970 the eruption of Hekla, Iceland's largest volcano, caused a large fall-out of poisonous (fluoric) ash. Some 7 per cent of the farms were hit by the after-effects of this eruption.

Diagram 1 Fish Catches
Quarterly, thousands tons



Sources : Hagtidindi and " Key Economic Indicators ".

Table 6 **Production by Sector**
Percentage change over previous year, 1960 prices

	1967	1968	1969	1970[1]
Agriculture	3.8	–2.0	–2.5	0
Fishing and fish processing	–21.4	–17.9	16.5	8
Manufacturing (excl. fish processing)[2]	–2.9	1.6	8.5	10
Building and construction	10.0	–5.0	–16.0	4-5
Other sectors	1.3	–5.1	2.5	5-6
New activities[3]	—	—	0.3	1
Total	–2.1	–6.0	2.0	7

1 Forecast.
2 Excluding aluminium and diatomite contribution to GDP.
3 The figures indicate contribution to the rise in GDP (not rate of change).
Source : The Economic Institute.

Production in the fisheries and fish processing may have risen by 8 per cent between 1969 and 1970, roughly in line with the trend in fish catches. Nevertheless, it has remained substantially below the 1965/1966 level but the heavier reliance on the white fish sector has enabled a higher capacity utilization in freezing plants, and a better regional pattern of the expansion.

In building and construction, activity has increased less than in other urban industries. Housebuilding and business construction have increased strongly, but due to the completion in 1969 of the three large building projects referred to earlier, the overall activity and employment in building and construction is still lower than in 1967. Nevertheless, unemployment has virtually disappeared in this sector, partly because of higher activity and partly because of the movement of labour to other occupations (e.g. fish processing). The high mobility of the Icelandic labour force in an upturn like the one experienced in 1969/70 tends to reduce frictional unemployment to a very low level.

With the rapid expansion of the rather labour-intensive production in fish processing and related sectors as well as in some other parts of manufacturing such as building of fishing vessels, the strong increase in employment recorded in 1969 has continued into 1970. Unemployment has been absorbed and the amount of overtime work has probably increased again. Moreover, part-time or double employment which were common before the recession, have probably reappeared to some extent. Net emigration, which rose to some 400 persons in 1968, and 1 300 in 1969, has apparently been negligible in 1970, and may even have turned into net immigration with the return of many workers who found employment abroad during the set-back. There are no regular statistics on job vacancies, but information from the unemployment offices, which also function as employment agencies, pointed to increasing difficulties in filling certain vacancies in urban areas.

Prices and Incomes

The devaluation in November 1968 and subsequent price increases were essential instruments in the adjustment of real domestic demand to the lower

level of available resources. The unexpected rise in export prices (in foreign currency) over the last 18 months has led to a sharp increase of profits in fisheries and fish processing. At the same time, demand for manpower has been rising steeply, putting labour unions in a strong negotiating position for the spring 1970 wage settlements. After negotiations between the employers' associations and the union of unskilled labour[1] had failed to reach agreement, the union went on strike on 19th May, at the expiry of the previous one-year agreement, and was followed by several other unions.

A settlement was finally reached on 19th June, providing for an average immediate increase in hourly rates for unskilled workers of some 17 per cent. A basic rise of 15 per cent was granted to all unskilled workers ; workers in fish processing received a supplementary 4 per cent. After this settlement public employees were granted a 15 per cent rise, and in subsequent settlements other wage earners seem to have obtained similar or larger pay increases. The overall rise in basic rates from this round of wage and salary negotiations is estimated at 18 per cent.

The former system of price-escalator adjustments of wage rates which gave full compensation only to the lower levels of wages and salaries was replaced by a system of proportional compensation to all. Rates are to be raised on 1st March, 1st June, 1st September and 1st December, providing 85-100 per cent compensation for the rise in the cost-of-living index over the previous three months (November to February for the March adjustment, etc.). Escalator adjustments corresponding to a total of some 10 per cent had been made during the year up to June 1970, so that average hourly wage rates for unskilled labour by 1st July 1970 were some 27 per cent higher than a year earlier. A further escalator adjustment corresponding to a 4.2 per cent rise in rates was effected on 1st September.

Table 7 **Hourly Wage Rates**[1]
Percentage change, annual rates

	Unskilled workers		Skilled workers	Total
	Male	Female		
1964	23.2	24.8	22.6	23.3
1965	15.0	17.3	14.9	15.5
1966	19.6	21.9	18.9	19.7
1967	5.5	8.0	3.3	5.2
1968	6.1	6.6	5.8	6.2
1969	12.9	14.7	15.4	13.8
1970[2] September	29.1	29.2	31.9	30.0

1 Calculated on the basis of an average composition of work as between daytime, overtime, and night and holiday work.
2 Change over September 1969. Preliminary.
Source : The Economic Institute.

1 Grouping among others the majority of the wage earners in fish processing.

Table 8 **Household Incomes and Expenditure**
Percentage change over previous year

	1967	1968	1969	1970[1]
Gross income before taxes	4.2	6.6	15.1	27
Disposable incomes	2.8	5.4	15.1	29
Change in consumer prices	4.1	13.8	24.1	15
Real disposable incomes	–1.2	–7.4	–7.3	12
Real private consumption	1.0	–5.4	–6.3	13

1 Forecast.
Source : The Economic Institute.

The overall rise in households' money income between 1969 and 1970 may be estimated at some 27 per cent as against 15.1 per cent from 1968 to 1969. Since household taxes paid in 1970 were based on incomes earned in 1969, the authorities expected taxes to rise only in line with the change in incomes between 1968 and 1969[1]. Moreover, as the progression in the tax system has been reduced by an upward adjustment of the whole tax scale in line with the rise in incomes, the share of household incomes paid as direct taxes has fallen somewhat in 1970, resulting in a rise in disposable earnings of some 29 per cent. With a probable rise in consumer prices of some 15 per cent, real disposable income may have increased by 12-13 per cent, almost the same as the increase in real private consumption. Thus, the savings ratio is assumed to have remained approximately unchanged.

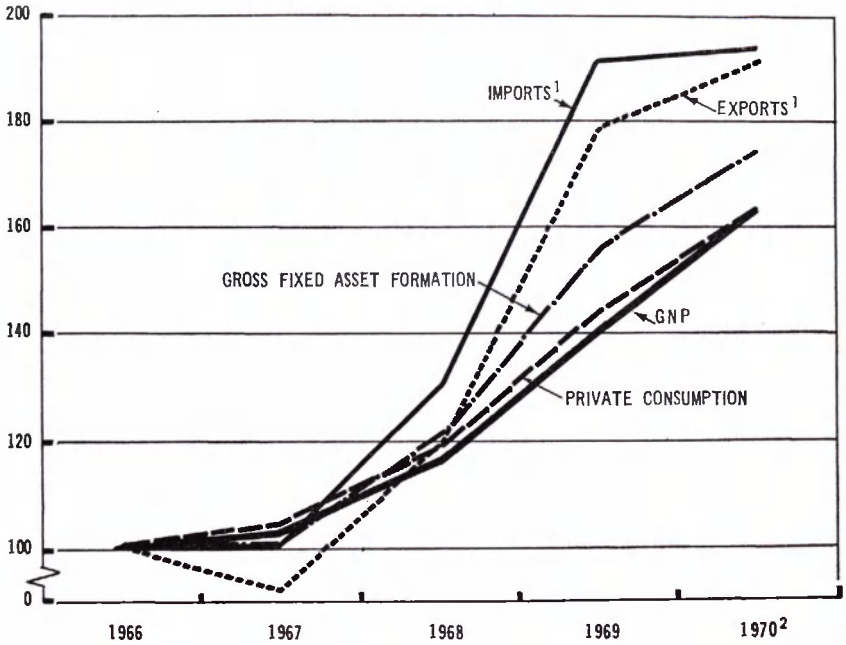
Table 9 **Cost of Living**
Percentage change over three months

	Cost of living[1]	Goods and services			Rent
		Total	Food	Other	
1968: February	4.8	4.2	4.5	3.9	0.0
May	2.0	2.3	0.3	3.3	0.0
August	1.5	1.4	2.8	0.8	2.0
November	4.5	5.3	9.0	3.7	0.7
1969: February	10.5	11.8	8.5	13.3	1.3
May	3.8	3.9	5.1	3.4	3.1
August	4.4	4.9	7.5	3.6	1.9
November	2.3	2.6	2.4	2.7	0.5
1970: February	2.2	2.2	2.1	1.7	0.0
May	2.9	3.5	3.4	4.0	2.7
August	4.3	4.1	6.0	3.4	1.2
November[2]	5.0	7.1	6.9	7.2	2.2

1 Including the net effect of change in social security payments and children's allowances ; until the fourth quarter of 1967 including direct taxes as well.
2 Preliminary figures ; including the effect of increase in family allowances as from 1st November as well as of increase in subsidies on milk and cream and in prices on tobacco and alcoholic beverages. Of other measures planned in the price-freeze law (see below) have not affected the index for November.
Source : Hagtidindi.

1 Putting taxation on a pay-as-you-earn basis, as recommended by the Expert Group on Fiscal Policy (see last year's Survey) would have greatly improved the built-in stabilizing effect on the tax system.

Diagram 2 **Deflators of National Accounts** (1966 = 100)



1 Including services.
2 Forecast.
Sources : The Economic Institute and the OECD Secretariat.

The large changes in prices for the different demand components (Diagram 4) caused by fluctuations in export prices, devaluations and income settlements, have a strong bearing on the income distribution. With the rise in wage and salary rates experienced in 1970, the total wage bill may have increased somewhat faster than GNP in money terms.

The revision of agricultural prices undertaken in August with the aim of compensating for the rise in costs and ensuring a rise in income in line with that of wage earners resulted in an average rise of 22 per cent at the beginning of September. However, the fall in productivity in agriculture in recent years has not been taken into account in these calculations (based on a standard composition of input and output), and it is therefore likely that incomes of independent farmers have been lagging behind the incomes of wage earners. It is also possible that other social groups have been left behind in the process of income adjustment in the last two years.

Between June 1969 and June 1970 the cost-of-living index rose on average by 3 per cent a quarter. Following the wage settlement last June, the price rise accelerated during the summer and autumn months (see Table 9). Over the 21 month period from February 1969 to November 1970 the cost-of-living index increased by 28 per cent, corresponding to an annual rate of 15 per cent.

Imports

Trends in merchandise imports, including an official forecast for the second half of 1970, are summarized in Table 10. As in earlier Surveys some import categories have been separated out due to their volatile character (imports of ships and aircraft) or to their special utilization (imports of investment goods to the three large construction projects referred to earlier, input materials for the aluminium factory, etc.). The remainder ("general" imports), which is more closely related to trends in domestic consumption and investment, is officially estimated to have risen by some 26 per cent in current prices between 1969 and 1970. The first half of 1970 showed a very large increase over a year earlier, to a large extent due to the depressed level of imports (and economic activity) in the first half of 1969. " General " imports may have risen some 20 per cent between the two halves of 1970.

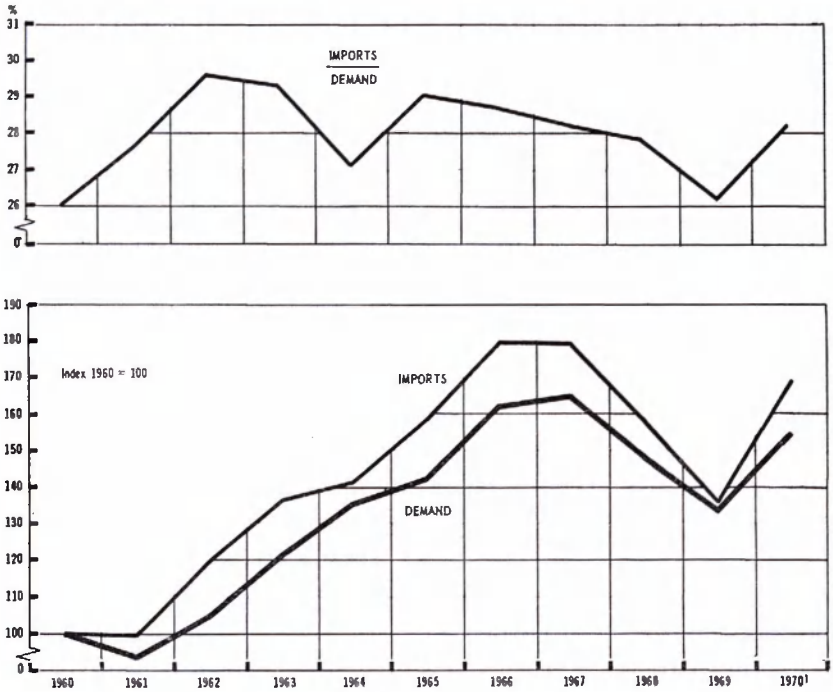
An idea of the reaction of imports to the shift in relative prices brought about by the devaluations and the development in domestic demand (volume, 1960 prices) is provided in Diagram 3. The shift in relative prices improved markedly the competitive position of the domestic industry and enabled it to expand production in substitution for imports. But the main factor behind the fall in the import ratio during the recession was no doubt the depressed level of demand and output. In 1970 imports were again rising in relation to demand, possibly due to the high income elasticity of imports, but probably also influenced by the strong acceleration of the rise in domestic prices.

Table 10 **Trends in Merchandise Imports**

	1968		1969		1970	
	I	II	I	II	I	II[1]
	$ million[2]					
Ships and aircraft	5.4	1.2	0.1	0.5	0.1	9.0
Imports for Burfell Project	3.7	3.8	2.8	0.6	0.3	0.7
Imports, Aluminium smelter	1.8	8.3	4.5	6.3	5.0	9.3
Investment goods	1.8	8.3	3.4	2.2	1.1	1.8
Input materials	—	—	1.1	4.1	3.9	7.5
Imports for the Defence Force	0.7	0.8	0.7	0.7	0.8	0.8
Other (" general ") imports	48.2	57.0	39.5	51.4	52.3	62.2
Total	59.8	71.1	47.6	59.5	58.5	82.0
	Percentage change over the same period previous year, dollar terms[2]					
" Other imports "	–23.0	–10.0	–18.0	–9.8	32.4	21.0
Total imports	–25.6	–0.6	–20.4	–16.3	22.9	37.8

1 Forecast by the Icelandic authorities.
2 At current exchange rates.
Source : The Economic Institute.

Diagram 3 **Imports in Relation to Demand**



1 Forecast.

Sources : The Economic Institute and the OECD Secretariat.

NOTE Imports and demand are in volume terms, 1960 prices. Demand is the sum of private and public consumption and gross fixed asset formation.

Balance of Payments

After the very large deficits incurred in 1967 and 1968, the current external account in 1969 turned into surplus to the tune of $ 3.5 million, with the trade balance in approximate equilibrium. Preliminary estimates and forecast point to an increase in the current account surplus to $ 14.4 million in 1970, mainly due to a further improvement of the trade balance. But half-yearly estimates suggest that the annual figures may conceal important changes during the year. Table 11 shows that the current account was in large surplus in the second half of 1969 and the first half of 1970, but that the second half of 1970 was likely to see a less favourable result, mainly because of rising imports.

Amortization of public and private foreign loans comprises sizeable amounts—estimated at $ 17.6 million in 1970 ; given a probable current surplus of $ 14 million, this implies a financial requirement of only $ 3.2 million (Table 12). This will be more than covered by public gross borrowing

and proceeds from the Industrial Development Fund[1] and by private long-term borrowing and foreign direct investments. Taking into account, moreover, the Icelandic share in the SDR allocation on 1st January 1970, foreign exchange reserves at the end of 1970 may have been $ 17 million higher than a year earlier, the increase occurring mainly in the first half. At the end of October 1970 foreign exchange reserves amounted to $ 38.9 million (Icelandic definition) made up of $ 50.1 million official reserves in convertible currencies, less $ 11.3 million drawings on the IMF (1 credit tranche of $ 3.8 million and $ 7.5 million drawn under the compensatory financing scheme) less $ 1 million liabilities in clearing currencies plus $ 1 million net foreign assets of commercial banks. The foreign reserve position has improved considerably from the negative net balance at the end of Octover 1968, without having yet reached the previous peak level of $ 45 million at the end of 1966.

Table 11 **Balance of Payments**
$ million

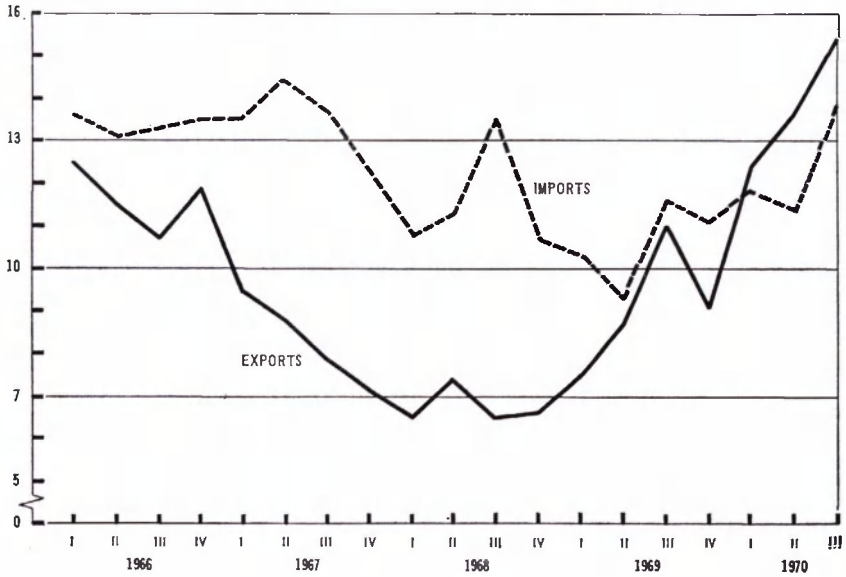
	1967	1968	1969	1970[1]
Trade balance[2]	–53.1	–48.0	–0.3	9.6
Services, net[3]	0.8	2.0	4.7	5.7
GOODS AND SERVICES	–52.3	–46.0	4.4	15.3
Transfers, net	–1.4	–0.9	–0.9	–0.9
CURRENT ACCOUNT	–53.8	–46.9	3.5	14.4
of which: 1st half year	..	..	–4.3	12.0
2nd half year	..	..	7.8	2.4
Repayment of public loans	7.3	23.2	–10.2	–7.4
Public borrowing, gross			22.7	5.3
Private borrowing, net	5.3	–6.7	–9.9	–5.1
Direct investment	6.7	15.0	16.4	3.8
Change in outstanding advance payments for ships[4]	2.2	0.9	–0.3	..
Other registered capital transactions	6.0	–1.4	–2.1	4.6
Errors and omissions	1.1	1.1	–1.0	..
CAPITAL ACCOUNT	28.9	32.1	15.6	1.4
BALANCE ON NON-MONETARY TRANSACTIONS	–24.9	–14.8	19.1	15.7[5]
of which: 1st half year	..	..	7.4	10.8
2nd half year	..	..	11.7	4.9

1 Forecast.
2 Including changes in stocks held abroad and imports for the Defence Force. Both exports and imports are on a fob. basis.
3 Excluding foreign currency sales of aircraft fuel (and imports to the Defence Force). Including interest.
4 Minus indicates an increase in outstanding advance payments.
5 Excluding IMF Special Drawing Rights $ 2.5 million.
Source : The Central Bank.

1 Established by the Nordic countries in connection with Iceland's membership in EFTA. The total capital of the Fund is $ 14 million; but proceeds will only be received gradually as loans are granted to the individual projects.

Diagram 4 **Exports and Imports**

$ million, monthly averages. Seasonally adjusted



Source : Hagtidindi.

Table 12 **External Long-Term Debt**[1]

$ million

	1970	1971	1972	1973	1974
Status, 1st January	133.5	124.4	108.8	94.8	81.1
Servicing:					
Public authorities:	13.4	12.5	13.1	12.8	12.9
Principal	7.4	6.8	7.8	8.0	8.4
Interest	6.0	5.7	5.3	4.8	4.5
Private sector:	12.1	10.3	7.2	6.5	3.3
Principal	10.2	8.8	6.2	5.7	2.8
Interest	1.9	1.5	1.0	0.8	0.5
Total:	25.5	22.8	20.3	19.3	16.2
Principal	17.6	15.6	14.0	13.7	11.2
Interest	7.9	7.2	6.3	5.6	5.0

1 Servicing (principal and interest) on foreign debt already contracted.
Source : The Central Bank.

III ECONOMIC POLICY

At the present stage of industrial development, wide variations in fish catches and export conditions must unavoidably exert a strong impact on domestic demand and activity. In a one-sided economy like that of Iceland, and with little short-run flexibility in the exchange rate, traditional monetary and fiscal policies may be too weak and inflexible to ensure the maintenance of an adequate overall economic balance. A main concern of economic policy has therefore been to develop economic policy instruments which were powerful and flexible enough to maintain a reasonable degree of economic stability without running counter to social objectives. Nevertheless, classical demand management policies still have an important role to play in the Icelandic economy, and their usefulness might be further enhanced by improvements in monetary and fiscal arrangements enabling a more active use of available instruments.

Incomes Policies

On several occasions over the last decade, incomes policy measures have come to play a key role in the management of the Icelandic economy. But whereas certain arrangements such as the fixing of agricultural prices and public participation in the negotiations of raw fish prices have become quasi-permanent features of the Icelandic economic system, it has not yet been possible to establish co-ordinated income settlements which did not involve inflationary developments.

Agricultural producer prices are fixed so as to give compensation for the rise in costs and to ensure that agricultural incomes develop in line with wages and other earnings. The estimates of costs are calculated on the basis of a fixed set of inputs and outputs and have not in recent years been adjusted for changes in productivity (which, incidentally, seem to have been negative in recent years). Since producer prices are not necessarily fixed in accordance with trends in consumer demand, the authorities had been obliged to help marketing the output by consumer subsidies, mainly on dairy products. A small surplus production has been exported, also with the help of subsidies. As shown in Table 13, agricultural subsidies in relation to GNP had nevertheless been on a falling trend from 4.6 per cent in 1967 to 3.3 per cent in 1969. With the rise in retail prices on agricultural products effected in September 1970, there was a risk of renewed difficulties in balancing demand for and supply of dairy products but the consumer subsidies granted in the context of the price freeze law (see below) may help to restore a certain equilibrium in this market.

The devaluation in 1968 permitted the discontinuation of subsidy payments to fisheries and fish processing. At the end of 1968 a Price Equalisation Fund covering all fisheries was established with the purpose of reducing swings in incomes due to fluctuations in export prices. It received an initial capital through transfer from the Central Government, but was intended to be self-financing through recurrent price cycles. Accrued earnings from operations in 1970 are estimated at Kr. 300 to 350 million, about 3 per cent of the

Table 13 **Subsidies to Agriculture**
Kr. million

	1967	1968	1969[1]	1970[1]	1971[1]
Total	1 193	1 072	1 116	1 163	1 764
Consumer subsidies	721	551	570	582	1 127
Export subsidies	268	251	270	300	275
Other subsidies and transfers	204	271	276	281	362
Total as percent of GNP	4.6	3.9	3.3	2.7	3.6

1 Approved budget.
Source : The Economic Institute.

total export value of marine products. This amount is small in relation to the fluctuations of incomes in the fisheries, so the stabilising influence of the Fund on the gross income of fish processing has been modest. But it may have had significant effects on domestic income developments in general since it is large in relation to the wage bill in the industry directly concerned.

Against the background of the strong imbalances in income developments which accompany fluctuations in the fisheries sector, such as experienced in the recession in 1967/68 and the upturn in 1969/70, the authorities have felt the need for a reconsideration of the basis and instruments for operating an incomes policy which could break the recurrent inflationary spirals. The authorities, in the spring of 1970, suggested ways of reaching a co-ordinated income settlement which involved a rather substantial rise in real incomes of wage and salary earners. However, no general frame-agreement was reached and the subsequent wage settlements were, as previously, made by each sector separately. The problem facing the authorities in this field may be illustrated by the following chronology of the main income settlements in the course of the year :

Chronology of Price and Wage Adjustments in 1970

January 1st		Adjustment of raw fish prices for herring and white fish.
March 1st		Escalator adjustment of wages and salaries.
June 1st	(*i*)	Adjustment of agricultural prices.
	(*ii*)	Adjustment of raw fish prices for white fish.
	(*iii*)	Escalator adjustment of wages and salaries.
June 19th		Wage settlement for workers, followed by pay increases for salary earners (on 1st July).
September 1st	(*i*)	Adjustment of agricultural prices.
	(*ii*)	Escalator adjustment of wages and salaries.
December 1st		Escalator adjustment of wages and salaries was due but will be modified due to the price-freeze law (see below).

Given that this succession of wage and price adjustments were likely to undermine the existing relatively good balance in the economy, the authorities

at the beginning of September made a new attempt to modify the wage/price spiral. Negotiations were initiated with the labour market organisations and the farmers on measures to reduce the adverse impact of the escalator clauses. No formal agreement was reached in these negotiations which ended in October. On 6th November the Government submitted a proposal to the Althing for a law on measures to stabilize prices and wages. The bill was passed on 18th November. Its main features are :

(*i*) A general price-freeze from 1st November 1970 to 31st August 1971.
(*ii*) Reduction of the cost-of-living index by 5.1 percentage points as from the level of November 1970 through higher family allowances and consumer subsidies.
(*iii*) Postponement of an escalator adjustment, due on 1st December, amounting to 2 percentage points, until September 1971.
(*iv*) Modification of the escalator clause to exclude compensation for a proposed rise in social security charges and for higher prices on alcohol and tobacco[1] (estimated to increase the cost-of-living index by 0.4 and 0.7 percentage points respectively).

According to the law, price increases may be affected if " accepted by the price control authorities and confirmed by the Government ". The Government is authorised to extend the freeze to municipal tax rates and charges for public services. The law does not indicate how and to what degree a rise in import prices will be allowed to be reflected in domestic retail prices. Some price increases during the period of restraint thus cannot be excluded and since existing wage agreements remain in force, this may lead to corresponding wage adjustments. However, on the assumption of only a slow rise in import prices, such adjustment should remain insignificant.

An important uncertainty with regard to the success of the incomes policy concerns the outcome of the negotiations this winter with public employees, and the re-negotiation of the raw fish prices at the turn of the year. Furthermore, the timing of the recent measures may result in additional strain on fiscal resources (measured on a cash basis). However, provided that the price-freeze works as envisaged, the authorities consider that it provides the breathing space needed to give greater attention to longer-term issues of incomes policy as well as economic development in general.

Fiscal Policy

Preliminary estimates by the Ministry of Finance suggest that revenue in 1970 may be some Kr. 900 million higher than indicated in Table14, reflecting stronger-than-expected increases in prices, incomes and imports, and thus in indirect tax receipts. The outcome is also influenced by changes in the tax system. The effect on tax revenue of the 30 per cent reduction of import tariffs in connection with EFTA membership from 1st March, was compensated by a rise in the turnover tax rate from 7.5 to 11 per cent. From August, the collection of the turnover tax is being made every two months instead of every three months ; this means that turnover tax for thirteen months will be paid in 1970.

1 Alcohol and tobacco are traded through a state monopoly.

Table 14 **Central Government Finance**
Kr. million

	1968 Accounts	1969 Approved budget	1970 Approved budget	1971 Approved budget
Revenue	6 741	7 096	8 397	11 535
Current and fixed investment expenditure[1]	6 907	7 000	8 187	11 023
Balance on current and fixed investment account[1]	–166	96	210	512
Long-term lending, net	–3	4	2	4
Short-term lending, net	–3	—	—	—
Long-term borrowing	31	–90	–86	–245
Short-term borrowing	23	—	—	—
Balance on financial transactions	48	–86	–84	–241
Repayment of debt to Central Bank	—	—	–100	—
Current receipts outstanding and other adjustments	–198	—	—	—
Overall cash balance	–316	10	26	271

1 Including capital transfers to investment credit funds.
Source : The Ministry of Finance.

According to revised estimates expenditure may be some Kr. 650-700 million higher than in the budget approved at the beginning of 1970 due to the impact of the June wage agreement and the subsequent adjustment of social transfers as well as the recent measures to stop the wage-price spiral. Export subsidies on agricultural products and contributions to social security may also be somewhat higher than originally estimated. Accordingly, the central government cash surplus is likely to be considerably higher than originally envisaged.

The central government budget proposal for 1971 was prepared while the main incomes policy issues were up for negotiations. It was—of course—realized by the authorities that the outcome of these negotiations would have significant repercussions on several budget items, but it was dificult to take account of this in the proposal without anticipating a specific outcome of the talks. To escape this, the budget estimates and proposals were made on a no-policy-change assumption and based on a forecast rise in consumer prices of 9 per cent and a rise in wage and salary rates of 17 per cent, given the increases granted and the escalator clause included in the June 1970 agreements.

The price-freeze law passed on 18th November, therefore, modifies the budget both through its impact on expenditure and revenue, as well as on the underlying forecast for household incomes and expenditure. On a full year basis the increase in expenditure for family allowances and consumer subsidies was estimated at Kr. 858 million. To cover this increase the following revenue measures were taken :

(*i*) Introduction of a wage and salary tax of 1.5 per cent of the wage bill in the period 1st December 1970 to 31st August 1971, estimated to yield Kr. 327 million in a full year.

(*ii*) Increase of prices on alcohol and tobacco (traded through a state monopoly), estimated to yield Kr. 190 million in a full year.

The fiscal measures left Kr. 341 million, in a full year, to be balanced by the fiscal resources already contained in the budget proposal. This is being achieved partly by estimated savings on export subsidies—due to increased domestic consumption caused by and accounted for in increased consumer subsidies—to the amount of Kr. 130 million and partly by savings on public expenditure on wages and salaries, estimated at Kr. 150 million in the budget proposal. In fact, an unchecked price/wage spiral would have released much greater increases in expenditures. However, as the substantial cash surplus of the original budget proposal is expected to be largely absorbed by expenditure increases subsequently decided upon, i.e. in connection wish the revision of public salaries, the net fiscal effects of the price freeze (negative by Kr. 61 million by terms of reference to the budget proposal) increases the weight of arguments for heavier taxation to avoid excessive net income creation under the prevailing expansionary conditions.

Table 15 **Central Government Expenditure**
Breakdown by economic category[1]

	1968 Accounts	1969 Approved budget	1970 Approved budget
TOTAL EXPENDITURE	7 033	7 126	8 312
Purchase of goods and services	2 452	2 715	3 146
Consumption	2 009	2 309	2 571
Wages and salaries	1 304	1 368	1 602
Other expenditure	503	594	578
Repairs and maintenance	93	272	286
Interest payments	109	76	105
Fixed investment	443	406	575
Transfers	4 581	4 411	5 166
To public enterprises and funds[2]	2 566	2 898	3 515
To local authorities	276	309	354
To private enterprises	1 443	1 027	1 081
To households	296	176	216

1 Not available for 1971.
2 Mainly capital transfers to investment credit funds and to the power plants, etc.
Source : The Ministry of Finance.
NOTE Expenditure figures in this table are given before deduction of receipts on expenditure accounts and are therefore somewhat higher than the expenditure figures in Table 16.

Monetary Policy and Developments

Monetary policy was successful in counteracting the contractionary effects of the fall in export earnings in 1967 and 1968. The fall in central bank holdings of foreign assets was more than compensated by a rise in the holdings of domestic assets, claims on the Government, investment credit funds, deposit institutions and private sector, etc. (Table 16). This replacement of foreign by domestic assets to a large extent reflected discretionary

measures to counteract the automatic monetary effect of the balance of payments deficits, in order to maintain a reasonable degree of liquidity of both banks and non-banks. The big central government cash deficit financed by drawings on the Central Bank also contributed strongly to the supply of liquid funds.

Table 16 **Liquidity Supply**
Estimated change in primary liquidity by main sources
Kr. million

	1967	1968	1969	Jan.-Sept. 1969	Jan.-Sept. 1970
Main sources of liquidity:					
Central Bank's holdings of foreign exchange[1]	–1 001	–553	1 020	802	1 511
Central Bank's rediscounting of bills	–7	134	461	481	–210
Cash deficit of Central Government and investment credit funds	604	215	–157	–50	19
Central Bank's claims on private sector and counterpart funds[1]	123	100	49	17	251
Central Bank's holdings of other domestic assets[1]	387	290	–442	–547	–537
TOTAL	106	186	931	703	1 034
Change in Money Supply	–209	285	944	997	1 307

1 Adjusted to eliminate book value changes due to the devaluations.
Source : The Central Bank.

The situation changed completely with the strong revival of exports and foreign exchange reserves in 1969. Central bank holdings of miscellaneous domestic assets were reduced somewhat, but at the same time the more or less automatic rediscounting of export and producer bills added strongly to private liquidities. The money supply[1], which on average had been unchanged in 1967/68, therefore rose by Kr. 944 million or 33 per cent in 1969. During the first nine months of 1970 the growth of the money supply was even higher than in 1969, although with a somewhat different origin ; there was a fall in the Central Bank's holdings of rediscounted bills, and the central government budget (including investment credit funds) changed to show a deficit.

From August onwards monetary conditions were tightened. The supply of liquidity through net sales of foreign currency to the Central Bank continued but an emerging cash surplus of the Central Government and government institutions resulted in a rather strong liquidity drain, which for the whole of the period August-December has been estimated at some Kr. 1 000 million (against a deficit of some Kr. 400 million in the period up to the end of July). With little change in volume of bills rediscounted in the Central

1 Defined as currency in the non-bank sectors plus demand deposits with the banking sector.

Table 17 **Central Bank Assets**
Change during period, Kr. million

	1967	1968	1969	Jan.-Sept. 1969	Jan.-Sept. 1970
Foreign assets, net[1]	–1 001	–553	1 020	802	1 511
Domestic assets[2]	1 107	739	–89	–99	–477
Government[1]	412	155	376	497	273
Investment credit funds	192	60	–533	–547	–254
Deposit institutions	334	485	–78	116	–279
Private sector	35	58	18	–10	248
Counterpart funds	88	42	31	27	3
Miscellaneous[1]	46	–61	97	–182	–468

1 Adjusted to eliminate book value changes caused by devaluations in November 1967 and November 1968
2 Claims by the Central Bank on other sectors
Source : The Central Bank.

Bank between the end of August and the end of December the overall liquidity drain in that period was estimated at some Kr. 700 million, assumed to bring the liquidity supply for the whole year 1970 down to about Kr. 400 million against Kr. 931 million in 1969. Given the supply of Kr. 1 034 million for the period up to the end of September (Table 16) this requires a fall of Kr. 600 million during the last quarter of the year—compared with a rise of Kr. 262 million in the fourth quarter of 1969.

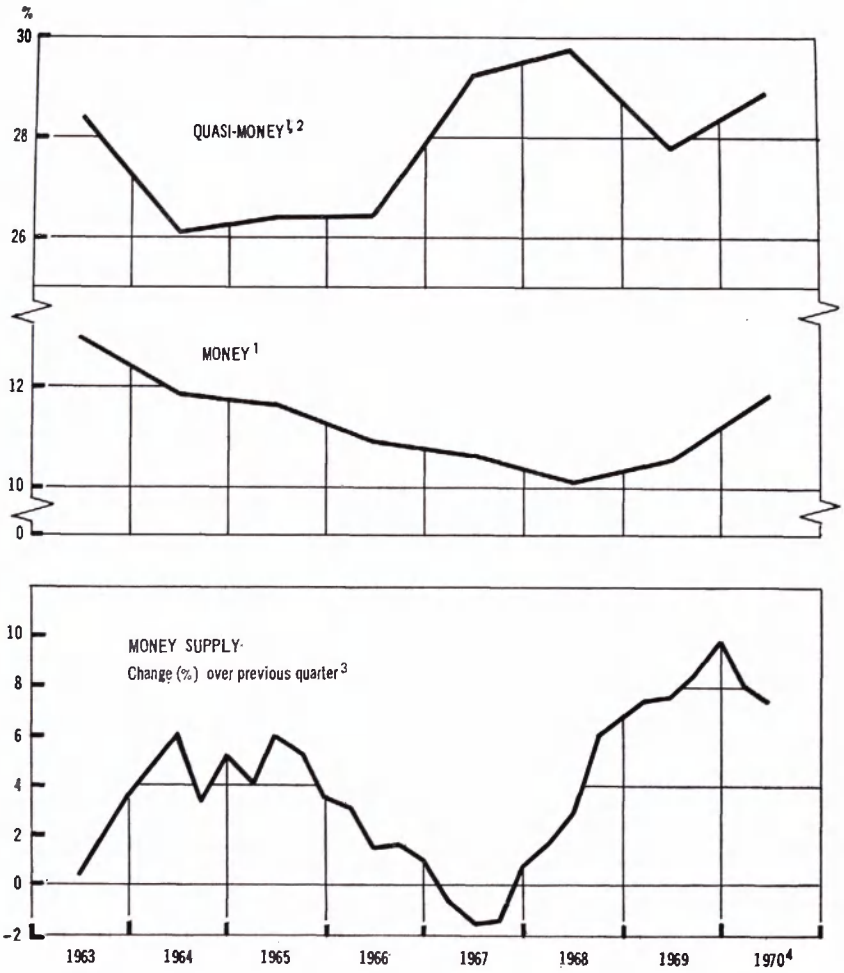
Table 18 **Deposit Institutions'**[1] **Assets**
Change during period, Kr. million

	1967	1968	1969	Jan.-Sept. 1969	Jan.-Sept. 1970
Loans, etc.	1 005	1 279	1 711	..	..
Lendings	798	1 123	1 511	1 155	1 767
Foreign funds relent[2]	31	–7	–363	–351	–138
Blocked deposits with Central Bank	176	163	563	359	585
Liquid position	–389	–222	1 136	841	33
Foreign, net[2]	–55	17	477	300	–134
Domestic, net	–334	–239	659	541	167

1 Commercial banks, savings banks and savings departments of cooperatives.
2 Adjusted to eliminate book value changes caused by the devaluations in November 1967 and 1968.
Source : The Central Bank.

As the existing degree of liquidity of banks and non-banks might give rise to an excessive increase in bank credit and aggregate demand, the Central Bank in June 1970 sought an arrangement with the commercial banks according to which the growth rate of bank lending between May and December would be limited to 4 per cent (adjusted for seasonal variations) ; observance of this understanding would imply a rise in bank lending to the private sector of 12.3 per cent between December, 1969 and December, 1970. To help the

Diagram 5 Money and Quasi-Money



1 Yearly average of end-of-quarter figures as per cent of GNP at current prices.
2 Savings and time deposits.
3 Moving average of 4 quarters.
4 Forecast.

Sources : The Central Bank and the OECD Secretariat.

banks fulfil the agreement, commercial banks were offered favourable conditions for deposits with the Central Bank. The previous system of liquidity reserve requirements, according to which 20 per cent of the increase in bank deposits have to be blocked on a special account with the Central Bank[1], remains unchanged.

Although some brake may have been put on the expansion of demand by the ceilings on bank lending, experience from other countries suggests that there is considerable flexibility in the monetary system, notably after a period of strong increases in liquidity. Bank lending is only one source —although the most important one—of credit, and ceilings on bank lending may result in a rising demand for credit from other sources : insurance companies, co-operatives, the pension funds and private persons, etc. The existing instruments, give the authorities limited scope for preventing the expansion of non-bank credit to finance e.g. purchases of consumer durables over this market.

Structural Problems and Policies

Industrial development in Iceland has essentially been based on the processing of fish for export. Apart from fish and water power, the country is relatively poor in natural resources, and the small size of the domestic market limits the exploitation of modern production and marketing techniques. The domestic industry is highly dependent upon deliveries to the fisheries sector, or upon demand derived from incomes generated in this sector. Prospects for further industrial development, for which Iceland's membership of EFTA has created new opportunities, must necessarily be judged against the role of the fisheries sector in the economy, and the particular conditions under which this industry works.

Productivity in fishing and fish processing—output related to labour as well as capital inputs—greatly exceeds productivity (as measured on tariff free basis) in the rest of the economy (apart from the newly established aluminium and diatomite plants, etc.). Icelandic fisheries in the past have offered ample scope for expansion both in terms of resources and markets ; the industry is highly modernised and capital intensive, and the improvement of labour and managerial skills has gone hand in hand with research work on the natural resources in the sea. In fact, the fisheries sector compares favourably in terms of productivity and viability with the most profitable industrial branches in other countries. However, a stage has been reached where the natural base allows only a very limited further expansion in the fisheries if long-term damage to the stock and reproduction of fish in the sea is to be avoided. The risk of overfishing is a general problem for both traditional Icelandic and other fishing grounds in the North Atlantic. But while, for biological as well as economic reasons, the extension of fishing capacity may be limited—there are sharply diminishing returns on additional capital inputs—productivity in the fisheries is likely to remain much higher than in other sectors or in most industrial undertakings which could be developed.

In the past, the parity of the Icelandic Krona has been fixed primarily with a view to ensuring a reasonable return in the main export industry, i.e.

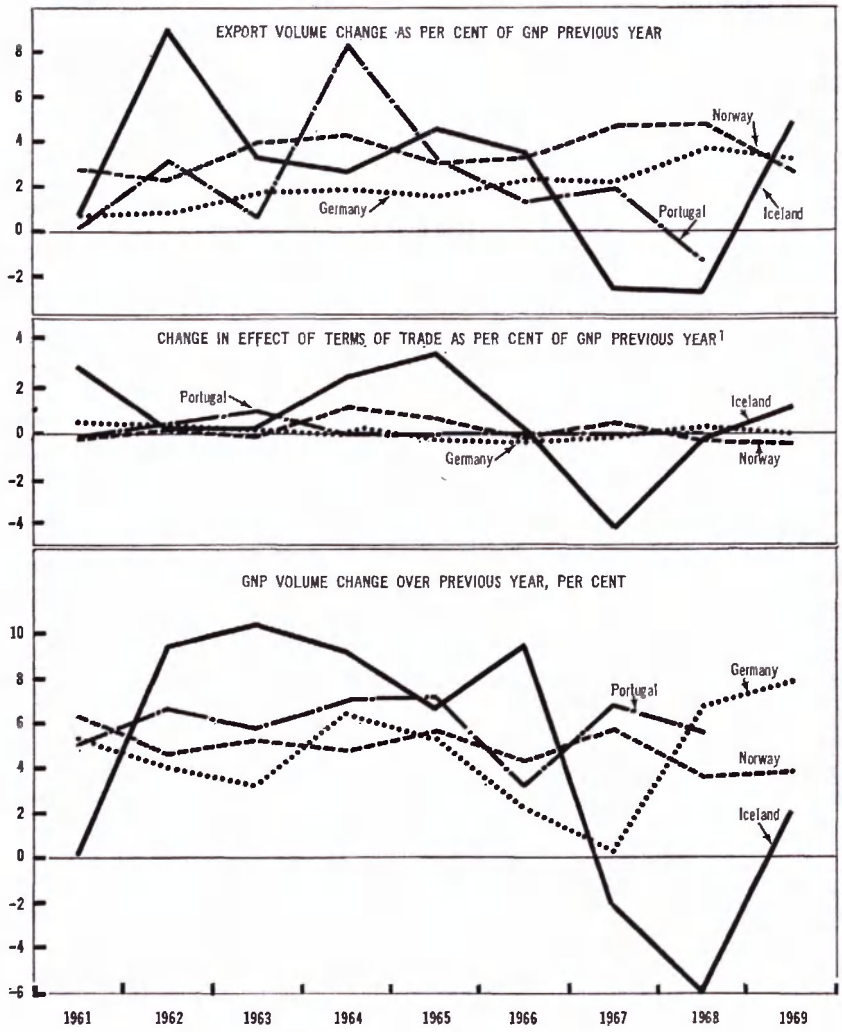
1 The marginal reserve ratio, formally fixed at 30 per cent, has effectively remained the same as the maximum average ratio of 20 per cent since early in 1967. By that time all the banks had deposited up to the maximum ratio.

fisheries and fish processing. But at such a parity the infant industrial enterprises catering mainly for domestic customers could operate only behind high tariffs enabling them to keep prices high enough to pay wages similar to those paid by the fisheries and obtain a reasonable return on the invested capital. Through a system of protection and financial support the domestic industry, agriculture and other sectors have shared the superior profitability in the fisheries sector. EFTA membership means that, after a transitional period, protective tariffs can no longer be used as an instrument of income transfers to the non-fisheries sectors. At the same time it is difficult to believe that it will be possible for wide discrepancies in earnings and capital returns to persist in the future any more than in the past. Given the limited possibilities of further expansion in the fisheries and the rapid growth of the labour force (2 per cent a year), a major increase in productivity and competitiveness in the non-fisheries sectors may be required to maintain full employment conditions. Thus, EFTA will accentuate the need for rapid diversification of the economy. A major problem will consist of determining what new industries can be developed, given the scarcity of natural resources and the size and location of the economy. Moreover, instruments will be required to channel more savings into urban activities that can be developed on a profitable basis. It will be a task of great urgency to reconsider the way in which all income groups can be secured a fair share of the nation's overall productivity. Moreover, a system of income determination more conducive to economic stability will be required.

In the past, the mechanism of income distribution and determination has been strongly inflationary. Fluctuations in the fisheries have represented a major problem from the point of view of maintaining economic stability. Sudden increases in catches and export prices, in addition to their effects on activity in auxiliary industries, have usually resulted in claims from other sectors for wage and income increases similar to those experienced in the fisheries, typically entailing sharp price increases in the non-fisheries sectors where productivity has been growing less fast. The interaction of demand and cost factors has tended to maintain the inflationary spiral long after the real basis for higher incomes has ceased to grow, pushing up costs to a level incompatible with competitiveness and a stable balance of payments when fish catches and prices fall back to more normal levels. Recurrent devaluations have been required to re-establish a reasonable balance between fish prices and internal costs, as well as the necessary protection for the domestic industry. But although essential, devaluations have also carried the seed of a new inflationary spiral.

Economic instability has its root in factors over which Iceland has little control : changing climatic and biological conditions, and the fishing efforts of other nations. Large fluctuations in catches, notably of herring, have disrupted economic developments time and again. Often, changes in volume and prices have combined to magnify the cycle. Export earnings of fish products, after doubling over the five years 1961 to 1966, fell by 40 per cent during the two years to 1968, and in 1969 and 1970 rose steeply without, however, regaining previous peak levels. The fluctuations would seem to be relatively much bigger than those experienced by other Member countries, and obviously create extremely difficult problems for stabilisation policy.

Diagram 6 Fluctuations in Exports and in GNP
Iceland compared to selectes countries



1 See notes to Table 2 and Annex Table B for definition.
Sources : OECD National Accounts 1950-1968 and Economic Surveys.

Diagram 6 compares the fluctuations in Iceland's exports with those of certain other countries where instability has been a feature in recent years.

The strengthening of the Icelandic economy on a lasting basis can only be obtained through the development of new types of exports. Major steps in this direction have been the creation of the aluminium complex, the diatomite plant, together with some wool and hide processing industries. The

authorities are constantly exploring possibilities for a more intensified utilisation of the hydro-electric resources and the task of creating new industries may be facilitated by a favourable age composition of the active population. This restructuring of the economy requires a re-channelling of savings and credit through a flexible credit system. However, the organisation of the credit market, in particular the narrow industrial specialisation both of credit facilities and institutions have, hitherto, not been suited to promote industrial diversification. Lack of appropriate savings instruments and of an organised capital market may also have contritubed to a less satisfactory allocation of resources. To improve the functioning of the monetary and credit markets the authorities have taken or are considering several measures :

(*i*) An Industrial Development Fund has been created with the participation of the governments of the other Nordic countries.

(*ii*) An export credit scheme is being prepared to provide capital goods producers with financing facilities.

(*iii*) The Central Bank has taken measures to facilitate an increase in credit accommodation to the manufacturing industries based on such criteria as corporate planning and profitability.

(*iv*) The authorities are examining the scope for and the possibility of increasing trade in stocks and savings in equities through a reform of taxation of dividends and the creation of a stock exchange.

(*v*) The Central Bank is examining the possibilities of reorganising the banking system with a view to reducing the degree of sectoral specialisation of the commercial banks. This could—but would not necessarily—lead to a reduction of their number.

IV PROSPECTS AND CONCLUSIONS

Prospects

Since the expansion in 1969/70 has been based on white fish catches rather than on herring fishing, and since the outlook for demand and prices for fish products seems favourable, the uncertainties surrounding export prospects may be smaller than on many previous occasions. Forecasts for merchandise exports and for the total inflow of foreign exchange in 1971 can therefore be made with a smaller margin of error than earlier.

Research work by marine biologists suggests that in the next few years there may be a basis for a further increase in white fish catches as the age-classes now coming into maturity are exceptionally large. The volume of marine exports could therefore be expected to increase somewhat. The authorities feel that there is little reason to expect fish prices to change very much from the level reached in the second half of 1970. Exports of aluminium should correspond to the full capacity production in 1971, thus rising considerably above the 1970 level. Assuming a continuation of the recent strong trend in sales abroad of other manufactures and services, exports of goods and services, including change in stocks of export goods, may be estimated to rise by some 7 per cent in volume terms. Since export prices on fish products continued to rise through 1970 the average price increase between 1970

and 1971 may amount to some 5 per cent. However, with import prices likely to rise at a similar rate, the terms of trade may not change much.

Tentative estimates, point to a rise in private consumption which is not much lower than that experienced in 1970. Gross fixed asset formation seems likely to rise by some 10 per cent as against 3.3 per cent between 1969 and 1970. The overall rise in domestic demand could therefore be somewhat stronger than in 1970. The volume of imports of goods and services may rise by some 14-15 per cent, implying a volume deterioration of the external balance on goods and services equivalent to about 4 per cent of GNP ; with no major changes assumed in the terms of trade a similar deterioration can be expected in the current external account, which, for 1970 as a whole, showed a surplus corresponding to some 3 per cent of GNP. An even stronger rise of imports would not seem unlikely if the share of imports in domestic demand should tend to increase towards the pre-devaluation level. A current account deficit of some size is therefore in prospect for 1971, but given the likelihood of some capital inflow and the strong rise in reserves in the last two years, the deficit should not give rise to immediate financing problems.

Conclusions

The marked improvement in the terms of trade in 1969 and 1970 as well as the rise in the volume of exports reestablished a satisfactory current external account, strengthened the foreign exchange position and provided scope for resumed rise in the standard of living. An important element in this improvement has been the increase in the white fish catches and the further processing of white fish, a production which shows a rather high degree of stability, has a favourable effect on employment and gives high social returns. Moreover, the strengthened economic position is also the result of policies to modernise the manufacturing industry and broaden its base, inter alia by the establishment, with the aid of foreign capital and knowhow, of some large undertakings. Continued efforts to diversify production and exports are needed, which could be facilitated by investment from abroad. Nevertheless, a main problem facing economic policy is to keep the rise in nominal incomes and consumption within the limits set by the growth of real resources.

The new industrial activities and membership in EFTA mean that Iceland has entered an important new phase in the development towards a more diversified economy. For a small country with few natural resources, it is difficult to develop new industries in competition with countries with long industrial traditions and well settled in all branches of urban activities. This handicap makes it most important that economic policy should aim at creating stable conditions conducive to industrialisation, all the more so since the drastic changes in external conditions and their internal consequences have in the past put additional obstacles in the path of industrial development.

It is essential that the process of diversification is not halted by excessive cost and price increases along past patterns. Wage costs which can be borne by the fisheries sector as long as it enjoys favourable export prices and strong foreign demand are likely to go beyond what other urban activities can afford

to pay. And entrepreneurs may hesitate to embark upon new industrial projects unless there is a prospect of more stable economic developments.

Last year's OECD Survey on Iceland emphasised the importance of keeping nominal income settlements within the possibilities set by available real resources, and pointed at the need for establishing a procedure which would eliminate the competitive element in income determination—efforts made by individual groups to improve or maintain their relative positions by successive wage and price revisions. Better co-ordination of the timing and size of income settlements could be a first step towards breaking the present automatic links between wages, the cost-of-living index, agricultural incomes and prices, as well as the close link by way of comparison between the raw fish prices and other incomes. This may require that important factors determining the mechanism of the income/price system are brought under better control. In recognition of this problem the Government, after discussions with the main parties concerned, has taken measures to arrest the inflationary spiral of wage and price increases. The Government may continue its attempts at coming to an understanding with the trade unions and employers for a more rational and lasting system of income and price determination. This topic was equally given attention during the incomes policy discussions last autumn.

As on many earlier occasions, the inflationary spiral seems to have been led by unusually favourable income conditions in the fisheries sector. The Price Equalisation Fund aims at moderating income fluctuations in the fisheries by withholding part of the extraordinarily high export prices for fish, and reimbursing these to the fisheries in periods of less favourable export conditions. Funds accumulated in 1970, although small in relation to the value of total exports, have thus exerted a stabilising influence on the developments of disposable incomes. But since the favourable conditions prevailing in 1970 are unlikely to last for long, the accumulation of funds available for reimbursement to the fisheries when fish prices are low, may prove to be too small to meet future claims, unless substantial further accumulations take place in 1971. This would imply that absorption of only one half of the changes from the reference price may not be sufficient, of care would have to be taken not to set the reference price too high, to moderate strong fluctuations in export incomes and their impact on overall income developments.

Better control of domestic demand is an essential prerequisite for achieving better price stability. The automatic response of indirect taxation (accounting for more than 4/5ths of total tax revenue) to changes in incomes is strong, prompt, and progressive, as fiscal tariffs are high, particularly on goods whose demand is sensitive to change in incomes. However, this stabilising effect is weakened by the fact that direct taxes are assessed with one year's lag. The introduction of a pay-as-you-earn system would seem to be particularly useful in an economy like that of Iceland, with strong income fluctuations. Alternatively, the Government could consider making more flexible use of its standing power to change the tax assessment and the timing of tax collection during the year.

In the present situation monetary policy has an important role to play in preventing the strong liquidity position of the banking and enterprise sectors from serving as a basis for an excessive increase in credit-financed demand.

In view of the strong fluctuations in foreign assets it would be desirable to strengthen present monetary instruments to regulate the money supply. More discretionary application of rediscounting facilities would seem to be warranted, and it would seem desirable that the Central Bank could engage in open market operations. For this latter purpose, an appropriate general credit instrument is lacking. Moreover, a better coherence of policies could be obtained by the inclusion of non-bank credit institutions (e.g. investment credit funds, insurance companies, pension funds) in the overall monetary policy frame. A special point for consideration in the case of the pension funds would be whether their portfolio policies could be influenced to a larger degree than at present. A review of the lending policy of the individual investment credit funds would also seem to be warranted, in particular with regard to their terms of lending as instruments of resource allocation. Such steps or studies could serve as useful supplements to the authorities' efforts, listed in Chapter III, to reorganise the credit and capital market with a view to improving its efficiency in resource allocation for development purposes.

STATISTICAL ANNEX

Table A **Supply and Use of Resources**
Kr. million, current prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969[1]
Private consumption	5 659	6 206	7 513	9 071	11 354	13 213	16 467	17 464	18 675	21 296
Public consumption	727	802	963	1 227	1 536	1 862	2 270	2 505	2 800	3 300
Gross fixed asset formation	2 499	2 195	2 829	3 853	4 979	5 506	7 003	7 984	8 725	8 568
Change in livestock	31	11	–33	–29	38	39	–18	–32	–12	–44
EXPENDITURE ON FINAL DOMESTIC USE	8 916	9 214	11 272	14 122	17 907	20 620	25 722	27 921	30 188	33 120
Change in stocks of exports products	–124	152	–77	–142	22	372	87	74	–264	200
NATIONAL EXPENDITURE	8 792	9 366	11 195	13 980	17 929	20 992	25 809	27 995	29 924	33 320
Exports of goods and services	3 790	4 290	5 611	6 137	7 045	8 342	9 091	7 882	9 510	15 910
Imports of goods and services	4 204	4 070	5 248	6 341	7 369	8 096	9 412	10 146	12 055	15 530
GROSS NATIONAL PRODUCT (market prices)	8 378	9 586	11 558	13 776	17 605	21 238	25 488	25 731	27 379	33 700
Depreciation	1 135	1 342	1 526	1 633	1 939	2 351	2 720	3 044	3 975	5 300
NET NATIONAL PRODUCT (market prices)	7 243	8 244	10 032	12 143	15 666	18 887	22 768	22 687	23 404	28 400
Indirect taxes	2 332	1 774	2 299	2 795	3 412	4 355	5 400	5 655	6 080	6 650
Subsidies	721	507	586	694	1 098	1 180	1 385	1 800	1 750	1 400
NET NATIONAL INCOME	5 632	6 977	8 319	10 042	13 352	15 712	18 753	18 832	19 074	23 150
Net income to abroad	123	128	106	110	137	176	202	252	410	650
NET DOMESTIC INCOME	5 755	7 105	8 425	10 152	13 489	15 888	18 955	19 084	19 484	23 800

1 Preliminary.
Source : Icelandic submission to the OECD.

Table B **Supply and Use of Resources**
Kr. million, 1960 prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969[1]
Private consumption	5 659	5 629	6 261	6 959	7 607	8 182	9 337	9 428	8 923	8 360
Public consumption	727	736	788	847	905	974	1 045	1 115	1 145	1 170
Gross fixed asset formation	2 499	1 946	2 274	2 971	3 500	3 429	3 997	4 505	4 111	3 122
Change in livestock	31	10	–28	–23	24	25	–10	–19	–8	–23
EXPENDITURE ON FINAL DOMESTIC USE	8 916	8 321	9 295	10 754	12 036	12 610	14 369	15 029	14 171	12 629
Change in stocks of exports products	–124	164	–110	–116	—	211	45	45	–174	–4
NATIONAL EXPENDITURE	8 792	8 485	9 185	10 638	12 036	12 821	14 414	15 074	13 997	12 625
Exports of goods and services	3 790	3 849	4 698	5 027	5 349	5 940	6 417	6 033	5 653	6 305
Imports of goods and services	4 204	3 928	4 721	5 589	6 326	6 914	7 938	8 489	7 790	6 830
GROSS NATIONAL PRODUCT	8 378	8 406	9 162	10 076	11 059	11 847	12 893	12 618	11 860	12 100
Effects of change in terms of trade	—	291	348	383	698	1 186	1 252	540	360	485
Export income	3 790	4 140	5 046	5 410	6 047	7 126	7 669	6 573	6 013	6 790
Income balance of goods and services	–414	212	325	–179	–279	212	–269	–1 916	–1 777	–40
GROSS NATIONAL INCOME[2]	8 378	8 697	9 510	10 459	11 757	13 033	14 145	13 158	12 220	12 585

1 Preliminary.
2 Gross national product + effect of changes in terms of trade.

NOTE Estimates of real income coincide with output in real terms on the assumption of unchanged terms of trade. Due to a particularly strong improvement in Icelandic terms of trade in the years 1964 and 1965 national expenditure in real terms could rise far above real gross national product without adverse effects on the balance of payments. This is explicitly introduced in the Icelandic national accounts, as shown above. The item « Export income », obtained throught the deflation of exports with the price index for imports, expresses the external purchasing power of the export earnings, and the difference between this item and exports, normally deflated with the export price index, is a measure of the real income « effect of changes in terms of trade ».

Source : Icelandic submission to the OECD.

Table C Production and Employment

		1962	1963	1964	1965	1966	1967	1968	1969
Fisheries and fish processing									
Production: Value, current prices	Kr. mill.	3 413	3 756	4 640	5 789	5 808	4 112	4 100	7 784
1963 prices	Kr. mill.	3 549	3 755	3 954	4 500	4 349	3 377	2 868	3 342
Fishing fleet[1], end of year: Trawlers	GRT	32 816	30 027	28 046	26 708	22 876	21 491	20 104	16 837
Motor boats	GRT	41 834	45 144	51 637	54 063	57 431	64 619	63 955	62 509
Total	GRT	74 650	75 171	79 683	80 771	80 307	86 110	84 059	79 346
Employment in fish processing	1962 = 100	100.0	105.9	111.7	113.2	102.3	88.9	87.7	..
Agriculture									
Production: Value, current prices[2]	Kr. mill.	..	1 449	1 762	2 128	2 186	2 347	2 575	3 130
1960 prices	Kr. mill.	..	935	952	1 021	968	1 004	975	951
Capacity[3]: Cultivated grassland	1 000 hect.	75.1	78.1	81.7	87.0	91.3	94.4	99.5	103.7
Sheep	1 000 heads	879.8	827.3	786.4	812.8	846.7	850.2	829.1	820.2
Cattle	1 000 heads	55.7	55.9	57.2	59.7	59.5	54.5	52.3	52.3
Manufacturing (excl. fish processing)									
Production, volume	1962 = 100	100.0	106.9	111.6	113.9	117.1	113.8	115.6	125.4[4]
Employment	1962 = 100	100.0	104.0	108.3	109.2	111.8	107.8	103.6	..
Dwelling construction									
Started	Number	1 177	1 773	1 481	2 126	1 609	2 052	1 041	1 030
Completed	Number	1 272	1 303	1 331	1 518	1 693	1 787	1 779	1 460
Under construction, end of year	Number	2 658	3 128	3 278	3 886	3 802	4 067	3 329	2 899

1 Including whale-catchers, excluding open boat.
2 Including change in livestock.
3 Beginning of year.
4 Preliminary, excluding aluminium.

Sources : Icelandic submission to the OECD, Fjarmalatidindi and Hagtidindi.

Table D **Gross Fixed Asset Formation**
Kr. million, 1960 prices

	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969[1]
GROSS FIXED ASSET FORMATION, TOTAL	2 499	1 946	2 274	2 971	3 500	3 429	3 997	4 505	4 111	3 122
Classification by end-use:										
INDUSTRIAL ASSET FORMATION	1 337	955	1 132	1 579	1 933	1 748	2 066	2 224	1 647	1 256
Agriculture	208	216	246	290	334	362	347	352	324	218
Fishing	478	108	151	287	366	134	193	427	101	53
Fish processing	108	93	179	174	154	171	226	131	66	40
Manufacturing other than fish processing	138	127	154	229	241	224	314	484	658	685
Transport equipment	247	234	223	296	572	515	565	436	264	65
Commercial buildings	97	111	110	152	142	190	216	160	116	140
Various machinery and equipment	61	66	69	151	124	152	205	234	118	55
RESIDENTIAL CONSTRUCTION	578	442	498	638	705	743	826	905	790	616
PUBLIC WORKS AND BUILDINGS	584	549	644	754	862	938	1 105	1 376	1 674	1 250
Electric power, generation and distribution	140	98	108	142	122	121	192	387	743	459
Geothermal heating and water supply	58	39	58	91	91	105	104	87	88	84
Communications	254	246	304	349	420	462	528	598	560	453
Public buildings	132	166	174	172	229	250	281	304	283	254
Classification by type of assets:										
MACHINERY AND EQUIPMENT	1 101	668	799	1 198	1 469	1 201	1 515	1 619	1 361	862
Electric power, generation and distribution	140	98	108	142	122	89	112	149	357	219
Various machinery and equipment	235	228	318	473	409	462	645	607	639	524
Ships and aircraft	632	222	255	385	795	504	537	674	238	77
Vehicles for industrial use	94	120	118	198	143	146	221	189	127	42
BUILDINGS	1 025	918	1 031	1 247	1 405	1 508	1 703	1 889	1 656	1 449
Residential construction	578	442	498	638	705	743	826	905	790	616
Other buildings	447	476	533	609	700	765	877	984	866	833
OTHER CONSTRUCTION	373	360	444	526	626	720	779	997	1 094	811

1 Preliminary.
Source : Icelandic submission to the OECD.

Table E **Balance of Payments**
$ million

	1962	1963	1964	1965	1966	1967[1]	1968[1]	1969[2]
Exports of goods, fob	85.2	95.1	111.1	129.3	139.1	98.7	82.8	106.8
Imports of goods, fob	83.2	–101.9	–120.3	–125.1	–146.2	–151.9	–130.8	–107.2
Ships and aircraft	–4.5	–8.8	–21.8	–13.6	–15.1	–16.8	–6.6	–0.6
Straumsvik, Burfell[3]	—	—	—	—	–3.1	–6.4	–17.6	–14.3
Imports to the Defence Force	–1.4	–1.9	–0.7	–1.0	–0.7	–1.1	–1.5	–1.4
Other imports	–77.3	–91.2	–97.8	–110.5	–127.3	–125.8	–105.1	–90.9
BALANCE OF TRADE	2.0	–6.8	–9.2	4.2	–7.1	–53.2	–48.0	–0.4
Military receipts	10.4	9.0	6.7	8.2	10.4	15.2	10.9	11.2
Other services	–1.9	–4.9	–2.9	–4.3	–7.6	–10.1	–0.9	0.1
BALANCE ON GOODS AND NON-FACTOR SERVICES	10.5	–2.7	–5.4	8.1	–4.3	–48.1	–38.0	10.9
Interest from abroad	1.0	1.2	1.4	1.9	2.2	2.1	1.3	1.9
Interest on foreign debt	–3.2	–3.5	–4.0	–4.9	–5.3	–6.4	–7.5	–8.5
Transfer payments	3.2	0.7	0.1	—	–1.2	–1.4	–0.9	–0.8
BALANCE ON CURRENT ACCOUNT	11.5	–4.3	–7.9	5.1	–8.6	–53.8	–45.1	3.5
Amortization of debt	–10.4	–9.1	–9.5	–10.4	–13.5	–14.9	–16.7	–20.9
Public borrowing	5.5	11.0	3.9	5.9	12.5	13.0	29.1	22.7
Private borrowing and direct investment	3.1	7.4	17.7	9.6	14.3	21.2	19.1	17.1
Other capital movements	4.4	–1.3	1.0	–1.5	–3.4	8.1	–2.3	–2.3
Errors and omissions	0.5	0.1	1.3	–1.3	–1.3	1.4	1.1	–1.0
OVERALL BALANCE	14.5	3.8	6.5	7.4	0.0	–24.9[4]	–14.8	19.1
Change in foreign exchange holdings:	14.5	3.8	6.5	7.4	0.0	–26.2[4]	–14.8	19.1
Convertible currencies	12.7	2.7	10.1	11.6	–1.4	–30.1	–14.0	18.6
Clearing currencies	1.8	1.1	–3.6	–4.2	1.4	3.9	–0.8	0.5

1 The exchange rate was changed on 24th November 1967 from 1 $ = Kr. 43.00 to 1 $ = Kr. 57.00 and to 1 $ = Kr. 88.00 on 12th November 1968. However, following the method utilised in the balance of payments statistics of the Central Bank of Iceland figures for 1967 and 1968 have been converted at exchange rates $ 1 = Kr. 43 and Kr. 57 respectively.
2 Preliminary.
3 Special imports for use in the construction of a power station at Burfell, a harbour at Straumsvik and an aluminium smelter. These imports reached a maximum in 1968 and fell almost completely off in 1969.
4 Difference resulting from loss of exchange holdings due to devaluation of sterling and other currencies.

Source : Central Bank Annual Report 1969.

Table F **Central Government Income and Expenditure**[1]
Fiscal year = Calendar year
Kr. million

	1962	1963	1964	1965	1966	1967	1967	1968	1969[2]	1970[2]
CURRENT REVENUE	2 203	2 683	3 297	4 185	5 315	5 805	5 135	6 741	7 096	8 397
Direct taxes	135	199	281	374	522	739	687	1 332	1 357	1 540
Indirect taxes	2 052	2 450	2 987	3 815	4 714	4 955	4 270	5 326	5 666	6 765
Other	16	34	29	–4	79	111	178	83	73	92
CURRENT EXPENDITURE	1 594	1 983	2 766	3 075	3 688	4 544		5 117	5 343	6 151
Purchase of goods and services	546	716	882	1 062	1 309	1 510		2 009	2 309	2 571
Subsidies	527	627	1 016	1 086	1 273	1 678				
Interest	3	6	7	10	9	12		—	—	—
Current transfers[3]	518	634	861	917	1 097	1 344		3 108	3 034	3 580
Depreciation and other operating provisions	—	—	—	—	—	—	—	—	—	—
GROSS SAVING	609	700	531	1 110	1 627	1 261		1 624	1 654	2 246
Gross fixed asset formation	101	214	230	362	313	485		443	406	575
SURPLUS ON CURRENT AND FIXED INVESTMENT ACCOUNT	508	486	301	748	1 314	776		1 181	1 349	1 671
Lending, net[4]	128	101	83	–89	–34	–164		–48	86	184
Net capital transfers to other sectors	183	301	469	617	816	984		1 347	1 253	1 461
OVERALL BALANCE[5]	197	84	–251	220	532	–44		–316[6]	10	26

1 The first part, 1962-1967, according to the OECD definition and the second part, 1967-1970, according to the Icelandic definition.
2 Approved budget.
3 Including subsidies for the second part, 1967-1970.
4 « — » = net borrowing.
5 Net change in floating debts and cash balances.
6 Including –198 for current receipts outstanding and other adjustments.

Source : Icelandic submission to the OECD.

Table G Fish Catch, Wages and Prices

	Fish catch (thous. tons)					Wages and prices (1963 = 100)										
	Total	White fish etc.	Herring	Capelin	Shrimp and lobster	Hourly wage rates, unskilled workers[1]	Cost of living index[2]					Building cost Reykjvik[3]	Export prices of fish products[4]			
							Total	Goods and services			Rent		Salted white fish	Frozen cod fillets	Herring oil	Herring meal
								Total	Food	Other						
	1	2	3	4	4	6	7	8	9	10	11	12	13	14	15	16
1963	782	380	395	9	6	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
1964	972	415	544	9	3	122.3	119.2	119.7	125.0	114.2	105.2	115.7	122.4	108.3	145.9	107.5
1965	1 199	382	763	50	5	138.6	127.9	128.6	133.3	123.5	113.7	133.8	134.3	125.0	150.9	132.1
1966	1 240	339	771	125	5	162.5	141.6	145,3	153.1	136.7	124.9	155.2	151.3	138.3	127.7	128.2
1967	895	333	461	97	4	170.6	146.3	150.0	155.2	144.1	135.6	159.1	148.1	112.9	100.6	106.4
1968	599	373	143	78	5	183.1	167.9	171.8	182.7	160.2	142.7	176.4	132.9	107.3	69.9	87.9
1969	686	451	57	171	7	213.1	205.5	214.5	232.3	197.9	151.7	219.3	119.3	112.7	73.9	101.5
Quarterly:																
1967 1	234	95	43	95	1	170.2	144.6	148.7	154.0	142.8	131.7	159.1	150.6	132.3	121.2	114.1
2	196	137	56	2	1	170.2	144.7	148.3	152.7	143.4	135.4	159.1	150.3	113.6	108.3	109.7
3	306	69	236	—	1	170.2	144.8	148.4	152.7	143.7	135.4	..	148.0	112.9	92.2	108.1
4	159	33	126	—	1	175.9	153.3	157.0	167.0	146.6	141.0	159.1	128.9	102.4	72.6	93.3
1968 1	166	86	6	73	1	181.2	162.3	165.5	175.8	154.3	141.0	167.7	151.5	116.5	60.9	87.1
2	179	171	2	5	1	183.6	165.5	169.2	176.3	159.4	141.0	177.3	145.5	109.0	76.1	84.8
3	146	76	68	—	2	186.1	167.9	171.7	181.2	160.6	143.8	..	122.2	108.3	65.7	95.9
4	108	40	67	—	1	195.9	175.8	180.8	197.4	166.5	144.8	184.2	121.9	100.7	69.4	86.1
1969 1	285	115	2	167	1	195.9	194.3	202.1	214.2	188.7	146.6	206.1	114.1	109.7	66.3	105.2
2	194	181	7	4	2	219.4	201.7	209.9	225.2	195.1	151.2	223.2	122.9	108.1	72.6	98.3
3	114	96	15	—	3	226.2	210.5	220.2	241.9	202.1	154.0	..	120.9	111.9	68.3	103.5
4	93	59	33	—	1	230.2	215.3	225.6	247.7	205.5	155.1	228.6	110.7	119.6	104.0	142.0
1970 1	269	115	—	152	2	234.0	220.2	230.5	252.9	208.5	155.1	234.4	153.3	127.6	—	135.2
2	264	215	7	40	2	279.2	226.6	238.7	261.6	219.2	159.3	256.3	146.1	132.2	148.2	139.0
3	103	87	14	—	2	290.9	236.2	248.5	275.6	228.3	162.2	..	143.1	133.9	147.6	143.4

1 Yearly figures are weighted averages. Quarterly figures give the wage rate at the end of the quarter.
2 New index beginning February 1968 (Jan. = 100), excluding direct taxes. Aggregates for 1968 calculated with new weights.
3 February, June and October.
4 Unit values calculated from export statistics, converted to dollars at current exchange rates.

Sources : Icelandic Statistical Bulletin (Col. 6) and Hagtidindi.

Table H Foreign Trade, Total and by Area

$ million, monthly rates

	Total imports cif		Imports by area						Total exports fob		Exports by area					
			OECD countries[1]			Non-OECD countries					OECD countries[1]			Non-OECD countries		
	Orig.	Adj.	Total	EEC	EFTA	Eastern Europe	Other devel-oped countr.	Devel-oping countr.	Orig.	Adj.	Total	EEC	EFTA	Eastern Europe	Other devel-oped countr.	Devel-oping countr.
	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31	32
1963	9.1	..	7.2	1.9	3.9	1.6	0.02	0.3	7.8	..	6.0	1.6	3.0	1.4	0.00	0.4
1964	10.9	..	8.9	2.0	4.4	1.8	0.02	0.3	9.3	..	7.4	1.5	4.0	1.3	0.01	0.6
1965	11.4	..	9.2	2.5	4.4	1.8	0.02	0.3	10.8	..	8.9	2.2	4.5	1.2	0.00	0.6
1966	13.3	..	11.4	3.0	5.5	1.5	0.03	0.3	11.7	..	9.7	2.4	4.7	1.4	0.01	0.6
1967	13.5	..	11.5	3.3	5.5	1.6	0.03	0.5	8.1	..	6.3	1.2	3.6	1.5	0.00	0.2
1968	11.5	..	9.7	3.2	4.8	1.4	0.03	0.4	6.8	..	5.6	1.0	2.5	1.0	0.01	0.2
1969	10.3	..	8.3	2.8	4.2	1.3	0.03	0.7	9.0	..	7.4	1.4	3.3	1.0	0.05	0.5
Quarterly:																
1967 1	10.0	13.3	8.7	2.5	4.3	0.9	0.01	0.3	7.5	9.4	5.5	1.3	3.1	1.5	0.00	0.5
2	17.7	13.8	14.9	4.3	6.2	2.2	0.02	0.5	8.5	8.5	7.0	1.1	4.1	1.3	0.00	0.2
3	12.5	14.1	10.5	3.2	4.9	1.7	0.06	0.3	7.0	7.9	5.4	0.9	2.7	1.4	0.00	0.1
4	14.0	12.3	11.7	3.0	6.6	1.5	0.03	0.7	9.3	7.1	7.3	1.4	4.5	1.8	0.01	0.2
1968 1	8.1	10.8	6.9	2.1	3.2	0.9	0.00	0.2	5.0	6.5	3.6	0.8	1.6	1.2	0.00	0.2
2	13.4	11.3	11.8	3.5	5.8	1.3	0.03	0.3	7.3	7.4	5.9	1.0	2.4	1.2	0.00	0.2
3	12.7	13.5	10.3	3.6	5.0	1.7	0.07	0.6	5.9	6.5	4.9	1.0	1.8	0.8	0.00	0.1
4	11.9	10.7	9.9	3.5	5.1	1.5	0.03	0.5	9.2	6.6	7.9	1.4	4.2	0.8	0.01	0.5
1969 1	7.7	10.3	6.3	2.3	3.0	1.0	0.01	0.3	5.7	7.5	4.2	0.6	1.9	1.1	0.01	0.4
2	10.4	9.3	8.9	3.0	4.6	1.0	0.03	0.4	8.3	8.7	6.6	1.3	2.9	1.2	0.00	0.5
3	10.8	11.6	8.6	2.5	4.8	1.6	0.04	0.5	10.0	11.0	8.7	1.6	3.5	1.0	0.01	0.3
4	12.3	11.1	9.3	3.4	4.5	1.4	0.03	1.5	11.9	9.1	10.0	1.9	4.9	1.0	0.15	0.7
1970 1	8.9	11.9	7.3	2.1	3.9	1.0	0.01	0.6	8.9	12.4	7.7	1.5	3.6	0.8	0.03	0.3
2	12.5	11.4	9.9	3.2	5.2	1.5	0.01	1.1	13.4	13.6	11.4	1.5	5.4	1.8	0.02	0.1
3	12.9	13.8	10.4	3.3	5.5	1.4	0.06	0.9	14.1	15.4	12.3	2.8	4.6	1.7	0.09	0.1

1 Including Finland.

Sources : OECD Main Economic Indicators and OECD Foreign Trade Statistics, Series A.

Table I Foreign Trade by Commodity Group

$ million

	Imports by commodity group							Exports by commodity group								
			Other imports													
	Total	Transport equipment	Total	Food and live animals	Semi-manufactured goods	Machinery and apparatus	Other goods	Total	Fish products, total	Frozen fish fillets	Herring, salted	Herring and capelin meal	Other fish and misc. prod.	Agricultural prod.	Aluminium prod.	Other manufac. prod.
	SITC No.	73		0	6	71.72										
	33	34	35	36	37	38	39	40	41	42	43	44	45	46	47	48
1963	109.5	18.1	91.4	10.1	27.5	18.3	35.5	94.2	86.7	20.8	12.8	10.2	0.6	5.1	—	1.8
1964	131.2	29.7	101.5	13.2	29.7	19.8	38.8	111.1	102.3	25.5	12.0	13.8	1.6	5.5	—	1.7
1965	137.2	22.6	114.6	13.7	34.8	21.9	44.2	129.3	122.2	26.7	11.4	21.9	1.5	4.3	—	1.3
1966	159.4	26.1	133.3	13.9	39.2	30.1	50.1	140.6	130.1	24.6	13.5	26.0	1.4	5.8	—	3.3
1967	163.4	28.1	135.3	15.8	39.0	30.1	50.4	96.9	87.4	20.4	8.7	16.7	0.7	5.8	—	3.0
1968	138.4	13.2	125.2	15.4	34.8	26.9	48.1	82.3	72.1	22.8	9.9	4.3	1.3	7.2	—	1.7
1969	123.4	4.0	119.4	14.4	32.1	26.8	46.1	107.6	88.0	33.2	4.8	4.3	2.4	6.9	5.9	4.4
Quarterly:																
1967 1	30.1	2.7	27.4	3.7	7.8	6.6	9.3	22.5	20.7	3.5	2.3	5.7	0.1	1.4	—	0.3
2	53.0	15.9	37.1	4.0	10.8	8.8	13.5	25.5	24.1	5.2	0.9	3.0	0.1	1.0	—	0.3
3	37.4	2.7	34.7	3.6	9.9	7.8	13.4	20.9	19.7	6.0	0.1	3.8	0.1	0.6	—	0.5
4	42.9	6.8	36.1	4.5	10.5	6.9	14.2	28.0	22.9	5.7	5.4	4.2	0.4	2.8	—	1.9
1968 1	24.3	1.4	22.9	3.4	6.5	5.0	8.0	15.1	13.4	3.1	4.4	1.2	0.1	1.3	—	0.3
2	40.2	7.7	32.5	4.2	9.3	6.9	12.1	21.8	20.0	6.9	0.9	1.4	0.2	1.1	—	0.5
3	38.0	1.8	36.2	4.0	9.8	6.9	15.5	17.6	16.1	6.9	0.5	1.0	0.3	0.7	—	0.5
4	35.9	2.3	33.6	3.8	9.2	8.1	12.5	27.8	22.6	5.9	4.1	0.7	0.7	4.1	—	0.4
1969 1	23.0	0.5	22.5	3.3	6.8	4.5	7.9	17.1	15.1	5.8	1.6	1.0	0.4	0.9	—	0.7
2	31.1	0.9	30.2	3.3	7.0	9.6	10.3	24.9	22.4	7.1	—	2.5	0.4	1.2	—	0.8
3	32.3	1.1	31.2	4.1	8.9	5.5	12.7	29.9	26.3	10.8	0.6	0.7	0.5	0.5	1.9	0.8
4	37.0	1.5	35.5	3.7	9.4	7.2	15.2	35.7	24.2	9.5	2.6	0.1	1.1	4.3	4.0	2.1
1970 1	26.8	1.2	25.6	3.8	8.1	4.5	9.2	26.7	19.7	7.6	3.3	0.4	0.3	1.1	4.6	1.0
2	37.4	2.6	34.8	4.0	8.7	6.1	16.0	40.2	33.1	14.0	0.2	4.2	0.5	1.3	4.1	1.2
3	38.6	3.1	35.5	4.3	10.0	7.2	14.0	42.3	33.8	15.4	0.3	0.8	0.3	0.7	5.9	1.6

Sources : OECD Foreign Trade Statistics, Series B, Icelandic Statistical Bulletin (Col. 41 to 48) and the Economic Institute.

Table J Money and Credit (end of period)

	Central Bank		Non-bank sector			Bank liquidity				Credits granted by banks					Foreign exchange	
						Commercial and savings banks					*of which*[1] *to :*					
	Central Bank discount rate	Net position of Treasury	Money supply Orig.	Money supply Adj.	Savings deposits	Blocked deposits	Redis-counted bills	Net free position with Central Bank	Net foreign assets	Total	Agri-culture	Fishery and fish pro-cessing	Manufac-turing and com-merce	Dwellings	Official gold and foreign exchange[2]	Com-mercial banks' position
	Per cent	*Kr. million*													*$ million*	
	49	50	51	52	53	54	55	56	57	58	59	60	61	62	63	64
1963	6.25	254	1 713	1 858	4 220	786	747	313	–220	5 904	669	1 405	1 999	589	32	–5
1964	6.25	113	2 155	2 240	4 983	1 090	777	440	–214	6 621	733	1 498	2 210	699	41	–5
1965	5.00	103	2 680	2 748	6 196	1 391	1 165	404	–156	8 288	1 009	1 830	2 615	816	51	–3
1966	5.25	434	2 832	2 884	7 183	1 730	1 311	81	–313	9 715	1 058	2 227	3 084	914	54	–7
1967	5.25	–23	2 604	2 641	7 799	1 911	1 304	–281	–475	10 617	1 146	2 421	3 430	997	32	–10
1968	5.25	–265	2 889	2 892	8 417	2 073	1 438	–606	–833	11 949	1 189	2 868	3 936	1 052	25	–11
1969	5.25	–640	3 810	3 894	10 134	2 640	1 898	102	–14	12 865	1 348	2 759	4 393	1 248	39	–1
Quarterly:																
1967 1	5.25	282	2 662	2 834	7 322	1 805	1 051	57	–378	9 716	1 028	2 028	3 293	910	55	–11
2	5.25	–11	2 836	2 787	7 300	1 852	1 093	–209	–351	10 088	956	2 194	3 417	951	45	–10
3	5.25	–185	2 712	2 677	7 387	1 874	1 172	–177	–365	10 265	950	2 339	3 437	981	36	–11
4	5.25	–23	2 604	2 648	7 799	1 911	1 304	–281	–475	10 617	1 146	2 421	3 430	997	32	–10
1968 1	5.25	–225	2 468	2 618	7 946	1 939	1 185	–339	–401	10 595	1 082	2 367	3 551	1 000	27	–9
2	5.25	–468	2 822	2 758	8 021	2 050	1 414	–395	–417	11 253	1 066	2 703	3 775	1 025	27	–9
3	5.25	–650	2 785	2 755	8 001	2 117	1 439	–601	–552	11 470	1 046	2 773	3 845	1 035	21	–11
4	5.25	–265	2 889	2 935	8 417	2 073	1 438	–606	–833	11 949	1 189	2 868	3 936	1 052	25	–11
1969 1	5.25	–523	3 054	3 229	8 676	2 204	1 481	–480	–773	12 112	1 121	2 998	4 053	1 064	35	–10
2	5.25	–737	3 505	3 416	9 006	2 353	1 893	–276	–472	12 604	1 079	3 353	4 092	1 105	32	–6
3	5.25	–759	3 680	3 644	9 275	2 436	1 919	–80	–260	12 772	1 056	3 124	4 251	1 178	37	–4
4	5.25	–640	3 810	3 871	10 134	2 640	1 898	102	–14	12 865	1 348	2 759	4 393	1 248	39	–1
1970 1	5.25	–965	4 085	4 308	10 661	2 824	1 572	57	176	13 047	1 236	2 365	4 552	1 271	44	1
2	5.25	–1 130	4 751	4 622	11 287	3 138	1 657	391	90	13 938	1 192	2 634	5 004	1 391	50	1
3	5.25	–913	4 864	4 816	11 615	3 225	1 688	387	–99	14 702	1 365	2 494	5 108	1 559	53	–1

1 Excluding credits granted by minor savings banks.
2 Excluding IMF position.

Sources : Icelandic Statistical Bulletin (Col. 50, 54, 55, 57, 58), International Financial Statistics (Col. 49, 51, 52, 53), OECD Main Economic Indicators (Col. 63, 64) and Icelandic submission to the OECD.

TABLE K Basic Statistics : International Comparison

				Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland	Italy
POPULATION		End of 1969	Thousands	7 384	9 660	21 260	4 906	4 707[1]	50 545	61 195	8 846[2]	203.4	2 927	54 302
Net average annual increase		1959-1969	%	0.49	0.57	1.84	0.72	0.65	1.06	1.05	0.75[5]	1.57	0.30	0.82
EMPLOYMENT	Total civilian	1968	Thousands	(3 145)	3 615	7 537	2 302	2 000	19 741	25 865	(3 617)	78	1 057	18 874
	Agriculture		% of total	(19.6)	5.6	8.6	13.1	26.0	15.8	10.2	(49.5)	19.2	29.6	22.5
	Industry[7]			(39.8)	44.9	32.3	38.4	34.0	40.4	48.2	(21.8)	37.2	28.7	41.8
	Other			(40.6)	49.6	59.1	48.5	40.0	43.8	41.6	28.7)	43.6	41.7	35.7
PRODUCTION :	GNP per head	1969	$[8]	1 690	2 370	3 460	2 880	1 940	2 770	2 520	860[8]	1 890	1 660	1 520
GDP by sector :	Agriculture	1968	% of total	8.1	5.4	5.9[9]	9.1	15.3	6.6[10]	3.9[10]	21.2	..	19.5[9]	11.1
	Industry			50.3	41.1	38.5[9]	39.6	39.2	47.8[10]	50.9[10]	27.3	..	33.5[9]	38.6
	Other			41.6	53.5	55.6[9]	51.3	45.5	45.6[10]	45.2[10]	51.6	..	47.0[9]	50.3
GNP[14], annual volume growth		1968	%	4.1	3.8	4.8	3.5	2.2	4.2	7.0	6.4	–5.9	4.2[9]	5.7
		1963-1968		4.2	4.1	5.5	4.7	3.6	5.2	4.3	7.2	3.4	3.3[15]	4.9
INDICATORS OF LIVING STANDARDS :		1968												
	Private consumption per head		$	920	1 370	1 830	1 600	960	1 540	1 240	600	1 530	720	890
	Expenditure on education		% of GNP[9]	4.40	5.57	5.65[16]	6.12	6.43	4.81	2.96[17]	1.88[18]	4.80	4.23	5.44
	Dwellings completed, per 1 000 inhabitants		number	6.6	5.0[19]	8.2	9.0	7.9	8.2	8.6	10.1	9.0[9]	4.0	5.1
	Passenger cars[20], per 1 000 inhabitants			144	187	298	209	124	240	199	18	185	123	151
	Television sets[21], per 1 000 inhabitants			134	186	279	244	193	185	231	9	160[20]	111[17]	146
	Telephones[21], per 1 000 inhabitants			159	181	408	292	204	141	172	76	330[20]	87[9]	135
	Doctors[21], per 1 000 inhabitants			1.58	1.51	1.20[22]	1.35[22]	0.88	1.18	1.48	1.47	..	1.03[17]	1.71
GROSS FIXED INVESTMENT[23]	Total	1964-68 average	% of GNP	25.1	21.4	23.8[24]	22.3	25.2	24.8	25.6	24.2	30.6	19.5[25]	19.5
	Machinery and equipment			12.6	8.6	9.4	11.1	9.0	10.7	12.3	9.1	9.4	8.5[25]	7.4
	Dwellings			4.4	5.6	3.8	4.3	5.5	6.5	5.4	6.1	6.5	3.7[25]	6.3
	Other constructions			8.1	7.2	10.6	6.9	10.7	7.6	7.9[29]	9.3	14.8	7.4[25]	5.8
GROSS SAVING		1964-68 average	% of GNP	26.6	22.8	23.9	20.0	27.1	25.7	26.2	20.4	..	18.1[25]	23.0
PUBLIC SECTOR[30]	Total current revenue	1968	% of GNP	37.5	33.6	35.2	37.0	37.1	37.7	37.1	27.4	33.6[9]	30.3[9]	33.2
WAGES/PRICES	Hourly earnings[32]	Annual increase 1964-69	%	8.1[33]	7.9	6.6[34]	11.2[35]	9.1	8.2[35]	6.5	10.8	11.7[37]	8.6[34]	5.7[38]
	Consumer prices			3.4	3.5	3.7	6.5	5.3	3.8	2.6	2.5	11.5	4.6	2.8
	GNP deflator			3.6	3.8	3.9	6.4	5.9	3.9	2.6	2.7	12.0	4.6	2.9
FOREIGN TRADE	Imports[46]		$ million[8]	3 146	8 392	15 757	3 791	1 941	16 032	29 331	1 654	139	1 302	12 285
			% of GNP	27.7	40.5	25.3	30.6	24.2	14.2	20.3	21.9	45.0	43.6	16.4
	Exports[46]		$ million[8]	3 004	8 420	15 441	3 578	2 006	16 024	34 385	965	110	1 216	14 618
			% of GNP	26.5	40.6	24.8	28.9	25.0	14.2	23.8	12.8	36.4	40.8	19.5
BALANCE OF PAYMENTS	Current balance	1964-68 average	% of GNP	–0.9	0.2	–1.3	–2.4	–1.4	–0.8	0.7	–4.8	–4.7	–1.9[25]	2.9
Official reserves, end-1969 : per cent of a year's imports[47]			%	48.5	22.3[19]	20.0	11.7	15.7	22.3	27.4	18.3	31.6	44.8	33.3
	Change	October 1969-October 1970	$ million	185	204[19]	1 202	39	106	704	1 615	7	21	114	207
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES[49]			% of GNP	0.65	1.12	0.50	1.13	— [50]	1.24	1.33	— [51]	— [50]	— [50]	1.03
EXPORT PERFORMANCE[52]	Growth of markets[53]	1968-69	%	2.9	3.6[10]	–4.5	–0.3	6.7	0.7	2.9	–0.5	17.3	4.7	–2.6
	Gains or losses of markets	1960-61 to 1968-69 average		–1.8	1.0[10]	–2.5	–1.1	–2.1	0.8	0.8	1.1	–5.4	0.6	4.0

				Japan	Luxembourg	Netherlands	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia
POPULATION		End of 1969	Thousands	102 930	338.5	12 958	3 867	9 514[2]	33 250	8 014	6 184	33 957[2]	55 534[3]	204 354	20 462
Net average annual increase		1959-1969	%	1.04	0.79	1.27	0.81	0.85[5]	0.97	0.71	1.53	2.65[5]	0.67[6]	1.31	1.12
EMPLOYMENT	Total civilian	1968	Thousands	50 020	138.8	4 428	1 465	3 087	12 113	3 782	(2 713)	(13 051)	24 884	75 920	3 587
	Agriculture		% of total	19.8	12.1	7.9	15.5	32.3	31.8	9.3	(7.6)	(74.9)	3.1	5.0	7.1
	Industry[7]			34.6	45.3	41.3	36.6	36.2	36.3	41.0	(52.0)	(11.8)	46.7	33.8	46.6
	Other			45.7	42.6	50.7	47.9	31.5	31.9	49.7	(40.4)	(13.3)	50.2	61.2	46.3
PRODUCTION :	GNP per head	1969	$[8]	1 630	2 130[9]	2 190	2 530	530[2]	870	3 570	2 990	375	1 970	4 660	476[2]
GDP by sector :	Agriculture	1968	% of total	10.5[11]	6.2[9]	7.0	6.8	19.0	16.3	5.9[9 10]	..	33.8[11]	3.0[19]	2.9[10]	19.5
	Industry			37.9[11 12]	50.9[9]	42.2	37.2	42.2	33.7	45.2[9 10]	..	26.5[11]	45.8[13]	36.4[10]	42.5
	Other			51.6[11 12]	42.9[9]	50.8	56.0	36.8	50.0	48.9[9 10]	..	39.7[11]	51.2[13]	60.7[10]	38.0
GNP[14], annual volume growth		1968	%	14.8	0.2[9]	6.2	3.8	5.7	5.7	3.2	4.0	6.7	2.8	4.8	..
		1963-1968		11.1	2.5[15]	5.8	4.9	6.0	6.2	4.2	3.6	6.5	2.9	5.2	..
INDICATORS OF LIVING STANDARDS :		1968													
	Private consumption per head		$	730	1 300[9]	1 110	1 270	370	540	1 790	1 620	..	1 170	2 680	275
	Expenditure on education		% of GNP[9]	4.54[16]	4.34[16]	6.71	5.81	1.44[16]	2.14[2]	7.80[2]	3.62[18]	3.70	4.15[16]	5.10	4.59
	Dwellings completed, per 1 000 inhabitants		number	11.9	..	9.7	8.8	4.3	6.4	13.4	8.6	3.3	7.7	7.7	6.4
	Passenger cars[20], per 1 000 inhabitants			52	235	165	166	37	50	253	206	4	196	410	28
	Television sets[21], per 1 000 inhabitants			190	131	197	175	29	84	288	143	0	263	392	64
	Telephones[21], per 1 000 inhabitants			204	281	216	284	65	105	478	417	13	218	523	31
	Doctors[21], per 1 000 inhabitants			1.09[22]	1.01	1.14	1.24	0.81[22]	1.30	1.13	1.29	0.36	1.15	1.58	1.10
GROSS FIXED INVESTMENT[23]	Total	1964-68 average	% of GNP	34.3	29.4[25]	26.6	29.9	19.2	24.4	24.0	27.6	17.0	18.3	16.7[26]	..
	Machinery and equipment			27.9[27]	11.2[25]	12.2	15.7	6.9	12.3	8.1	9.2	..	8.9	6.9[26]	..
	Dwellings			6.3	18.2[25 28]	5.3	4.4	4.2	4.7	6.1	7.1	3.6	3.7	3.6	..
	Other constructions			— [27]	— [28]	9.1	9.8	8.1	7.5	9.7	11.3	..	5.7	6.2	..
GROSS SAVING		1964-68 average	% of GNP	36.7	28.0[25]	27.1	28.5	..	22.9	23.9	28.0	..	18.2	18.5	..
PUBLIC SECTOR[30]	Total current revenue	1968	% of GNP	20.6	36.0[9]	40.7	41.6	..	21.4	48.1[31]	26.8	..	37.4	30.0	32.6
WAGES/PRICES	Hourly earnings[32]	Annual increase 1964-69	%	12.9[39]	..	8.8[40]	8.3[41]	8.4[33]	13.7[42]	8.6[43]	5.0[44]	..	6.0[45]	4.8[34]	..
	Consumer prices			5.2	2.8	5.0	3.7	5.8	6.5	4.0	3.4	7.4	4.3	3.4	14.9
	GNP deflator			4.5	2.4	5.1	3.9	4.3	6.1	4.3	3.9	4.4	4.3	3.3	..
FOREIGN TRADE	Imports[46]		$ million[8]	14 128	546[9]	11 472	3 798	1 418	4 031	6 078	5 357	..	23 535	48 078	1 991[9]
			% of GNP	10.0	77.2[9]	45.5	42.1	28.3	15.6	23.8	31.2	..	22.9	5.5	21.0[9]
	Exports[46]		$ million[8]	15 353	559[9]	11 586	3 958	1 267	3 360	5 920	6 161	..	23 847	50 594	1 875[9]
			% of GNP	10.8	79.0[9]	45.9	43.9	25.3	13.0	23.1	35.9	..	23.2	5.7	19.7[9]
BALANCE OF PAYMENTS	Current balance	1964-68 average	% of GNP	0.5	–2.1[25]	–0.3	–1.0	..	–1.5	–0.8	0.5	..	–0.5	0.4	..
Official reserves, end-1969 : per cent of a year's imports[47]			%	20.2	—	19.0	21.2	109.9	19.8	10.1	75.9	32.5	12.7	40.6	11.9
	Change	October 1969-October 1970	$ million	228	—	118	90	61[48]	618	–19	305	90	–13	–2 225	2
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES[49]			% of GNP	0.76	— [50]	1.34	0.78	1.74	— [51]	0.77	0.64	— [51]	0.97	0.49	— [51]
EXPORT PERFORMANCE[52]	Growth of markets[53]	1968-69	%	10.4	—	0.5	–1.5	–1.0	4.6	0	–2.0	–8.1	–1.2	–4.5	..
	Gains or losses of markets	1960-61 to 1968-69 average		7.6	—	0.7	1.9	1.2	2.3	–0.2	0.5	–4.6	–3.3	–1.6	..

1 Does not include total net migration between Finland and the other Nordic countries.
2 Relate to 1968.
3 Relate to 30-6-1969.
4 National source.
5 Relate to 1958-1968.
6 Relate to 30-6-1959 - 30-6-1969.
7 According to the definition used in OECD Labour Force Statistics ; mining, manufacturing, construction and utilities (electricity, gas and water).
8 At current prices and exchange rates.
9 Refer to 1967.
10 GDP at market prices.
11 Net domestic product.
12 Electricity, gas and water works included in " other activities ".
13 Including stock appreciation.
14 At 1963 prices.
15 Relate to 1962-1967.
16 Relate to 1965.
17 Relate to 1966.
18 Relate to 1964.
19 Including Luxembourg.
20 Relates to 1-1-1969.
21 Relates to 1-1-1968.
22 Relates to 1-1-1967.
23 At constant (1963) prices.
24 Excluding transfer costs of land and existing assets.
25 Relate to 1963-1967.
26 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
27 " Other constructions " included under " machinery and equipment ". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
28 " Other constructions " included in " dwellings ".
29 Including transfer costs of land.
30 General government.
31 Including depreciation.
32 Industry.
33 Monthly.
34 Manufacturing.
35 Including bonuses.
36 Hourly rates in manufacturing.
37 Hourly wages rates for unskilled workers.
38 Hourly rates in manufacturing, excluding family allowances.
39 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
40 Hourly rates in industry, males.
41 Males.
42 Excluding family allowances.
43 Mining and manufacturing, males.
44 Hourly rates.
45 Hourly rates in manufacturing, males.
46 Goods and services 1968, including factor income.
47 Imports of goods in 1969.
48 Relate to September 1969-September 1970.
49 Rates to 1969. According to the DAC definition. Including flows to multilateral agencies. As per cent of GNP.
50 Not Development Assistance Committee members.
51 Considered as developing countries for purposes of DAC reporting.
52 Values, percentage change. Figures are subject to many limiting factors. For detailed explanations see OECD Economic Outlook July 1970.
53 Export markets.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources : Common to all subjects and countries, except Yugoslavia (for special national sources see above) : OECD ; Labour Force Statistics, Main Economic Indicators, National Accounts, Observer, DAC, Statistics of Foreign Trade (Series C) and Statistics of Balance of Payments. Office Statistique des Communautés Européennes. International Financial Statistics.

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